

SLOVAK REPUBLIC 2011

Table of Contents

1. Overview of the tax-benefit system	1
2. Unemployment insurance	3
3. Unemployment assistance	7
4. Social assistance	8
5. Housing benefits for rented accommodation	16
6. Family benefits	17
7. Childcare for pre-school children	19
8. Employment-conditional benefits	22
9. Lone-parent benefits	23
10. Tax system	25
11. Part-time work	30
12. Policy developments	31

1. Overview of the tax-benefit system

On 1 January 2004 went into force the:

Act No. 599/2003 Coll. on assistance in material need and on amending of some acts

Act No. 461/2003 Coll. on social insurance.

On 1 February 2004 the Act No. 5/2004 Coll. on employment service went into force.

On 1 January 2005 went into force the:

Act. No. 43/2004 Coll. on the old-age pension saving system.

Subsystems of social insurance

a) *sickness insurance* as insurance in case of loss or decrease of income from gainful activities and to make sure for an income due to temporary incapacity for work, pregnancy and maternity,

b) *pension insurance*, particularly

1. old-age insurance as insurance to make sure for an income in old age and in case of demise,

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2. disability insurance as insurance in case of decrease in ability to carry out gainful activities due to long-term adverse health condition of insuree and in case of demise,
- c) *accident insurance* as insurance in case of damaging the health or demise due to a working accident, service accident (hereinafter referred to only as „working accident“) and occupational disease,
- d) *guarantee insurance* as insurance in case of insolvency of employer to meet claims of employee,
- e) *unemployment insurance* as insurance in case of losing income of employee's activities due to unemployment and to make sure for an income due to unemployment.

Social insurance is carried out by the Social Insurance Agency. The Social Insurance Agency is a public-service organisation established to carry out social insurance.

1.1. Average Worker wage (AW)

As from 1.1.2009 Slovakia has joined the Euro zone; the national currency became the Euro (EUR). In 2011, the average worker earned EUR 9 592¹.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information, see *Taxing Wages 2010-2011*, OECD, 2012, part 5, sections 2 and 3

2. Unemployment insurance

The employee has mandatory unemployment insurance and self employed person could be voluntary insured person in unemployment.

The natural person having attained 16 years of age may be voluntarily insured in unemployment, who has permanent residence, permit for transient residence or permit for permanent residence on the territory of the Slovak Republic.

Unemployment insurance does not apply for recipients of disability benefit for the reason of decrease in ability to carry out gainful activities by more than 70%, for recipients of old-age benefit and early old-age benefit, for recipients of disability benefit who reach pensionable age and for specific categories of employees (prosecutor, etc.). The recipients of disability benefit with the decrease in ability to carry out gainful activities between 40-70% (employees or voluntary insured persons) are covered by unemployment insurance and have the same conditions like other employees until they reach pensionable age. The contribution rate is 1% for employee, 1% for employer and 2% for voluntary insured person.

The payment rate is 50 % of daily assessment basis.

There is no any preference for payment rates or period paid out of benefit depend on the ages or family status of claimant.

2.1 Conditions for receipt

Act on Social Insurance does not define reason of unemployment of insured person that mean same rules are used for redundancy person who has got notice from employer and for person who has given resignation at work.

The most important condition for pay out unemployment benefit is staying in register of jobseekers. According the Act on Employment Services the jobseeker is obligated to cooperate with the Labour Office, active looking for job and available in 3 days time interval on request of the Labour Office.

2.1.1 Employment conditions

Insuree is entitled to unemployment benefit, if he had unemployment insurance for at least two years within the past three years before being included to registry of unemployed citizens looking for employment or for at least two years within the past four years before being included to registry of unemployed citizens looking for employment in case of seasonal workers (i.e. workers with term contract). For the insuree, who met conditions of claiming unemployment benefit, the claim to unemployment benefit arises since the day of being included into the registry of unemployed citizens.

2.1.2 Contribution conditions

The same conditions as introduced in previous article. An eligibility criterion of necessary number of years for unemployment insurance is also applying for voluntary insurance.

2.2 Calculation of benefit amount

2.2.1 *Calculation of gross benefit*

After the law-settled conditions were met the amount of unemployment benefit is 50% of the daily assessment basis. Daily assessment basis (DAB) to determine the amount of unemployment benefit is a quotient of the sum of assessment bases (AB) to pay premiums for unemployment insurance (the sums from which the insurance was paid) attained by the insuree in the conclusive period and the number of days of the conclusive period.

$$\text{DAB} = \frac{\sum \text{AB in determining period}}{\text{number of days of determining period}}$$

Calculation of unemployment benefit in one month:

$$50\% \times \text{DAB} \times \text{number of days in month}$$

The average unemployment benefit paid in 2010 (second half) amounts to EUR 303,95 per month. The average unemployment benefit paid in 2011 (first half) amounts to EUR 311,25 per month.

Since 1st January 2006 the maximum amount of unemployment benefit is not limited by the daily assessment basis and it depends on the sum of premiums that one pays for unemployment insurance. So the sum of the unemployment benefit depends only on the parameters used in the formula for the calculation of this benefit. **However indirectly maximum amount of benefit was in time period 2006-2007 determined by maximum assessment bases for paying contribution. Since 1st January 2008 maximum ceiling was increased from the original 3-times the average wage in the SR economy to 4-times the average wage in the SR economy. In context with this change is setting maximum daily assessment base for calculation of benefit (it means that the upper mentioned change has no influence on the maximum sum of benefit) :**

$$\text{MDAB} = \frac{\text{3-times general assessment bases}}{365}$$

General assessment base in this case is similar like for maximum ceiling for paying contribution used half year general assessment bases (from January to June average wage two years before and from July to December one year before).

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

One of conditions of claim to an unemployment benefit is including to registry of unemployed citizens looking for employment (register of jobseekers).

2.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

Insuree is not entitled to disbursement of unemployment benefit in the period of time in which he is entitled for payment of sickness benefits, nursing benefits, maternity allowances and parental allowance.

When the retroactive unemployment benefit is approved also for a period when the beneficiary was paid the material need benefit and the additions to this benefit, the approved unemployment benefit for this period will be reckoned with the material need benefit which has been already paid.

2.4 ***Benefit duration and waiting periods***

- Where the unemployment benefit has been paid to the beneficiary for the entire supported period of unemployment (6 months or 4 months for seasonal workers), a new entitlement to this benefit shall arise soonest after the expiration of two years since the day when the preceding entitlement finished after the condition of at least two years of unemployment insurance over the last three years and in case of seasonal workers over the last four years before entry to the Jobseekers Register has been satisfied;
- Where the beneficiary has not been paid unemployment benefit for the entire supported period of unemployment (6 months or 4 months for seasonal workers) and the insured person was discarded from the Jobseekers Register because of the beginning of the activity as the employee and within a period shorter than 2 years, the entitlement to the payment of unemployment benefit shall arise at the amount of the previous unemployment benefit, and shall terminate upon the lapse of the remaining part of the supported period of unemployment;
- Where the beneficiary
 - has been paid unemployment benefit at least 3 months
 - has been put off the Jobseekers Register on account of undertaking the activity of an employee
 - has claimed in written the lump-sum payment of 50% of the unemployment benefit for the remaining part of the supported period

the insuree is entitled to 50 % of the rest of the untaken unemployment benefit.

Social Insurance Agency is obligated to accept every application form regardless of claimant has right on this benefit or not. However first application form on unemployment benefit is sent through the Labour Office as part of registration procedure of new jobseeker. Social Insurance Agency sent in decision the supported period - client knows this reality and he consider if he has any other question (after expired or possibility to continue of pay out benefit) he rather use verbal client information services of Social Insurance Agency.

2.5 ***Treatment of particular groups***

2.5.1 *Young persons*

Entitlement conditions for the unemployment benefit and the benefit duration are uniform for every natural person, except of recipients of disability benefit for the reason of decrease in ability to carry out gainful activities by more than 70%, recipients of disability benefit who reach pensionable age, recipients of old-age benefit and early old-age benefit and specific categories of employees (prosecutor, etc.)

2.5.2 *Older workers*

Entitlement conditions for the unemployment benefit and the benefit duration are uniform for every natural person except of recipients of disability benefit for the reason of decrease in ability to carry out gainful activities by more than 70%, recipients of disability benefit who reach pensionable age, recipients of old-age benefit and early old-age benefit and specific categories of employees (prosecutor, etc.) ... The insuree must satisfy the statutory conditions (irrespective of whether s/he was insured for unemployment obligatorily or voluntarily).

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2.5.3 *Others if applicable*

There are no special rules for lone parents and immigrants.

Unemployment insurance is mandatory also for part-time employees. They have same eligibility criteria for benefit, payment rate and contribution rate such as employees.

For self-employed persons is subsystem of unemployment insurance voluntary. They could become voluntary insured persons.

Unemployment insurance does not apply for recipients of disability benefit for the reason of decrease in ability to carry out gainful activities by more than 70% and for recipients of disability benefit who reach pensionable age. (Unemployment insurance does not apply also for recipients of old-age benefit and early old-age benefit and for specific categories of employees (prosecutor, etc.).) The recipients of disability benefit with the decrease in ability to carry out gainful activities between 40-70% (employees or voluntary insured persons) are covered by unemployment insurance until they reach pensionable age and have the same conditions like other employees.

3. Unemployment assistance

Active measures of the labour market provide

- raising employability of job seekers and persons interested in employment through education, preparation for the labour market, professional consultancy, graduate practice, activation activity, movement toward work
- creation of new jobs

The active policy of the labour market in terms of Act No. 5/2004 Coll. on employment service is being realized through active measures of the labour market which have also financial dimension in providing the contributions (see **Annex**).

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.1.1 *Irregular additional payments [NEW ITEM]*

3.2.1.2 *Obligations of family members [NEW ITEM]*

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable*

4. Social assistance

4.1 Conditions for receipt

On 1 January 2004 the Act No. 599/2003 Coll. on assistance in material need and on amending of some acts went into force, which in part superseded the existing Act on social assistance in the section on assistance in material need.

The Act on assistance in material need guarantees a citizen, who is in material need, provision for basic living conditions through the benefit in material need. In addition to the assistance in material need, the act makes provision for allowances to the benefit, namely the health care allowance, housing allowance, activation allowance and protective allowance, which are component parts of the assistance in material need.

The Act on material need defines material need as a state, in which the income of the citizen and the natural persons jointly assessed with the citizen, does not achieve the subsistence minimum, and the citizen and the jointly assessed natural persons are unable to secure or increase the income through their own endeavours.

For the purposes of assessing material need, providing for the basic living conditions and assisting in material need the following natural persons are jointly assessed:

- the husband and the wife,
- the parents and their dependent children living with them in the household,
- the parents and their children aged up to 25 years, who have no income, or have an income not exceeding the amount of the minimum wage, living with their parents in the household, with the exception of the children, to whom, during the period of registration as job seekers an entitlement to unemployment benefit arose and the children who are in receipt of invalidity pension.

The claimants do not have to meet job-search or work-availability in order to be eligible for the benefit.

4.2 Calculation of benefit amount

To determine the claim to assistance in material need the subsistence minimum amounts are relevant as they form the basis of the income test. For 2011, these amounts are:

MLS monthly (since 1.7.2010)	
First adult	185, 38 €
Second adult	129, 31 €
Child	84,61 €
MLS monthly (since 1.7.2011)	
First adult	189, 83 €
Second adult	132, 42 €
Child	86,65 €

The benefit in material need is payable to a citizen in material need, and the natural persons, jointly assessed with this citizen, in order to secure the basic living conditions at six levels.

The benefits available to a family in material need (2010) are:

EUR 60, 50 per month for an individual
EUR 115, 10 per month for an individual with child, or with maximum four children
EUR 105, 20 per month for a childless couple
EUR 157, 60 per month for a couple with child or with maximum four children
EUR 168, 20 per month for an individual with more than four children
EUR 212, 30 per month for couples with more than four children

The amounts of benefit, referred to above, are increased by EUR 13,50 per month, where the citizen or the natural person, jointly assessed with the citizen in material need, is a pregnant woman. The increase is payable to a pregnant woman from the start of the fourth month of pregnancy, where she has substantiated her pregnancy with the production of a pregnant woman's card and where she regularly visits a pregnant women's advice centre throughout her pregnancy.

The Benefit for person in material need with a child up to one year, EUR 13,50 per month and also for person whose produce that immediately before the birth of this child had provided basic living conditions and assistance in material need. The total calculated amount (see 4.2.1) of benefits and allowances will be increased by this benefit.

The Benefit for a child to ensure their basic living conditions and assistance in material need, if the child fulfils the compulsory school attendance, EUR 17,20 per month. The total calculated amount (see 4.2.1) of benefits and allowances will be also increased by this benefit.

In addition to the benefit in material need the citizen may claim his or her right to the following allowances:

- Health care allowance
- Housing allowance
- Protective allowance
- Activation allowance

Health care allowance

Every applicant and persons who are jointly assessed with this person, who have been awarded the benefit, shall also be payable the health care allowance,. The amount of health care allowance is EUR 2 per person monthly.

Housing allowance

The housing allowance is payable only to one citizen in material need and the natural persons who are jointly assessed with this person, and is payable to one address only, provided one of them is

- the owner of an apartment, the owner of a family house, a tenant of an apartment, a tenant of a family house, or a tenant of a room in a facility designed for housing

- and he or she pays the cost relating to housing and presents the document of payment of the cost for the preceding six consecutive calendar months, or substantiates the acknowledgement of the debt and an agreement on down payment, in the event he has payment arrears connected with the coverage of the housing cost.

These conditions are not monitored, if a person in material need or any of the individuals to be a citizen in material need jointly assessed, is the beneficiary of a retirement pension, this is true even if the recipient of a pension benefit or other social pension, who has completed 62 years of age.

The amount of the housing allowance is

- EUR 55,80 monthly, where it involves one citizen in material need
- EUR 89,20 monthly, where it involves a citizen in material need and natural persons jointly assessed with this person.

Activation allowance

Activation allowance is payable to a citizen in material need and every natural person jointly assessed with the citizen in material need to support the acquisition, maintenance or upgrading of knowledge, skills, or working habits for the purposes of employment during the period of assistance in material need, where these persons have satisfied entitlement conditions for the benefit.

The entitlement to activation allowance arises

- to a citizen in material need who is employed, or who is registered as a jobseeker, during the period s/he increases his qualification; participates in education/training; subject to the agreement with the Ministry of Labour, Social Affairs and Family of the Slovak Republic, Central Office of Labour, Social Affairs and Family, Local office of labour, social affairs and family or participates in doing minor municipal services subject to the agreement with the , Local office of labour, social affairs and family, the municipality or self-governing region.
- to a citizen in material need who is in receipt of parental allowance, and who studies at a secondary school or university (this does not apply, where the citizen has acquired university education of the second degree).

The amount of activation allowance is 63,07 € monthly.

A long-term unemployed person is also entitled to receive activation allowance, namely

- at an amount of 63,07 € per month for a maximum of 6 months, where s/he starts employment, and before taking up employment was provided basic living conditions and assistance in material need, and his or her income from dependent activity is at least at the level of the minimum wage, but not more than three-times the amount of minimum wage.
- at the amount of 63,07 € per month for a maximum of six months, where s/he starts self-employment, and before taking up self-employment was provided basic living conditions and assistance in material need.

Activation allowance is not a citizen in material need, or individuals who are a citizen in material need jointly assess if they are contributions under § 48b, § 49a, § 51 and § 52a of Act no. 5 / 2004 Coll z. Employment Services and amending certain laws (see in the annex).

Protective allowance

Protective allowance is payable to a citizen in material need and natural persons jointly assessed with this citizen, where they have satisfied the entitlement conditions and where they are unable to secure their basic living conditions and help themselves in material need, on account of

- reaching the age required for the right to old age pension,
- disability, where the capacity to engage in gainful employment has been reduced by more than 70%
- being a lone parent who personally, on a daily basis, and properly takes care of a child aged up to 31 weeks,
- personal, daily and proper care of a child, or a citizen who, subject to the assessment of the competent authority, is a child or a citizen with severe disability,
- participation in resocialisation programmes.

The amount of protective allowance is 63,07 € per month.

The amount of protective allowance is 34,69 € if a citizen in material need or natural persons jointly assessed with this citizen and their unfavourable health state lasting continuously for more than 30 days, which is established by the relevant attending physician.

The material need benefits as well as the family benefits are regularly increased since September by the government regulation.

4.2.1 Calculation of gross benefit

The mechanism of the calculation of the amount of benefit and allowances is based on determining the difference between the sum of entitlements to the benefit in material need and the allowances to the benefit (health care allowance, housing allowance, protective allowance, and activation allowance) and the income. Section 4.2.2 refers to what is regarded as income for the purposes of the calculation of the benefit in material need and the allowances to the benefit.

The amount of material need benefits and allowances are calculated as the difference between the total amounts of claims for benefits and allowances, namely: health care allowance, housing allowance, protection allowance, activation allowance, with the exception of activation allowance for long-term unemployed and the income of a citizen in material need and individuals who are a citizen in material need be assessed jointly. The amount of material need benefits and allowance are provided in one sum and if the amount of benefits and contributions is less than one euro, benefits and allowances are not paid. The amount of benefits and allowances be increased by 13.50, if a citizen or individual who is a citizen in material need jointly assessed, the parents of the child under one year old. This applies even if the amount

of 17.20 EUR, which is provided for the child to ensure their basic living conditions and assistance in material need, if the child fulfills the compulsory school attendance.

4.2.1.1 *Irregular additional payments* **[NEW ITEM]**

4.2.1.2 *Obligations of family members* **[NEW ITEM]**

If a person in material need and individuals who are a citizen in material need be assessed jointly, not exercise their legal rights, which can provide basic living conditions, to help your material need, are not considered citizens in material need. Legal claims, which can ensure the basic living conditions and help in material need, are: alimony, replacement maintenance, compensation income upon temporary incapacity, sickness insurance, pension insurance, accident insurance, guarantee insurance and unemployment insurance, demands of the employment relationship, security and retirement benefits, state social benefits (such as parental contribution), in addition to child benefit and to one-off state social benefits.

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

For the purposes of the calculation of the benefit in material need and the allowances to the benefit, as income is not regarded:

- 25 % of the personal income from dependent activity,
- 25 % of the old-age pension and early old-age pension awarded to a pensioner who has acquired at least 25 years of pension insurance; for every additional year of pension insurance this amount is increased by 1% of the awarded old-age pension and early old-age pension,
- 25 % of the maternity allowance,
- 25 % of the invalidity pension,
- 25 % of the social pension awarded on the ground of disability (=invalidity),
- 25 % of the orphan's pension,
- 25 % of the widow's pension or widower's pension, where the widow or widower reached the retirement age,
- child allowance and supplement to child allowance,
- a necessary urgent assistance, which is provided by the municipality, subject to a special regulation,
- the income from casual activities, accidental and one-off incomes, up to double the amount of subsistence minimum, received for 12 months,

- the income of the secondary school pupil and the income of university student, studying full-time, where this income does not exceed 1.2-times the amount of subsistence minimum for a natural adult person,
- scholarship of pupils and students of secondary and tertiary schools,
- compensation of part of travel expenses and compensation of travel expenses of a jobseeker,
- allowance for compensation of travel expenses related to the activities identified in the individual action,
- reimbursement of expenses for board, accommodation and travel of a jobseeker, who is provided education or training for the labour market,
- allowance towards services for the family with children for a jobseeker, who takes care of a child of pre-school age (before commencing compulsory school attendance),
- contribution for the Graduate Practice,,
- provision of benefit during education and preparation for the labour market and during preparation to improve the employment prospects of a disabled citizen,
- contribution for job familiarisation for a disadvantaged job seeker,
- 50% of contribution for activation activity in the form of voluntary service,
- support or contribution made by the foundations and civil associations, NGOs and non-investment funds, including non-monetary benefit to the individual purposefully designed to enhance the effects of assistance in material need up to a maximum of 12-times the subsistence minimum obtained in the current year
- employee tax credit and tax credit,
- one-off state social benefits,
- cash benefits for citizens with severe disabilities for compensation of social consequences of their severe disablement, with the exception of the care allowance,
- revenue for providing data for the statistics of family accounts, performed by the Statistical Office of the Slovak Republic
- reward for productive work of the pupil, which in practical training in accordance with the school education program performs productive work
- material provision for the pupil, which is used to cover the cost of his training provide income

4.3 Tax treatment of benefit and interaction with other benefits

The benefit in material need and the allowances to the benefit are exempt from taxation. The interaction with other benefits has been partly covered under section 4.2.2.

4.4 Benefit duration and waiting periods

The benefit in material need and the allowances to the benefit are payable to the citizen on the basis of lawful decision and during the period in which the entitlement conditions last.

4.5 Treatment of particular group

The benefits are provided to all citizens who find themselves in material need.

Since September 15, 2004 the revision of the decree No. 3950/2004-II/1 dated September 7, 2004 of the Ministry of Labour, Social Affairs and Family of the Slovak Republic on providing the subsidies has entered into efficiency. Under this decree it is allowed to provide the subsidy for food, the school utensils and scholarship for the children of the compulsory school attendance who live in the family which is provided with the material need benefit and the allowances to this benefit.

Subsidies are now provided under a decree of the Ministry of Labour, Social Affairs and Family of the Slovak Republic of 26 November 2008 No. 23609/2008-II/1, amending Ordinance of the Ministry of Labour, Social Affairs and Family of the Slovak Republic on 5 December 2007 No. 29775/2007- II / 1 on the granting of subsidies by the Ministry of Labour, Social Affairs and Family of the Slovak Republic. This decree regulates the granting of subsidies to the wider group of children, including children from families whose income is at subsistence level. It also launched a subsidy for scholarship, which was transformed as a benefit to the Act on assistance in material need.

From 1 in January 2011 regulates the provision of subsidies Act. 544/2010.

In terms of the decree may be granted to children who fulfilled compulsory schooling and live in families which benefits are provided benefits in material need and allowances to the material need or their average monthly income for the last six consecutive months (the "income") is most of the subsistence minimum, subsidies for food and school supplies (utensils).

Subsidies for food for the child may be provided to ensure food for a child in preschool facilities and primary school child in a special primary school (the school). For food, for the purposes of the food subsidy for the provision of lunch and other food. The food subsidy may be granted to the applicant:

- for every child who attends pre-school or school in which at least 50% of children from families, providing benefits and allowances
- the individual child who attends pre-school or school and live in the family, which benefits are provided and benefits or whose income does not exceed the amount of subsistence minimum.

Subsidies for food may be granted

- most of 1 Euro per day diet, in which the child attended school or teaching in the educational process in pre-school facility, and it most: about 1 EUR for lunch, by 0.34 EUR to other food,
- the child is visiting pre-school or college and whose parents contribute to eating meals per day for every meal of at least 0.03 euro and 0.17 euro most,
-

- Subsidy for school supplies for children can be provided to ensure school supplies for children in the preparatory class in pre-school facility and the child in school. For school supplies for the purposes of subsidies for school supplies regarded books, stationery, textbooks, required individual devices that are directly related to the learning process at school or nursery school children in a preparatory class for pre-school facilities. Subsidy for school supplies can be provided to the applicant:
 - for every child who attends a preparatory class pre-school or preparatory school and class in pre-school facility or school is at least 50% of children from families, providing benefits and allowances
 - the individual child who attends pre-school preparatory classes or school and lived in the family, which benefits are provided and benefits or whose income does not exceed the amount of subsistence.

Subsidy for school supplies can be provided in two parts, most of Euro 33.19 per child for the financial year.

Subsidy for food and subsidy for supplies can be provided by the founder of kindergarten or the founder of the primary school or municipality or civic associations. There are not provided directly to parents of the child.

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable*

5. Housing benefits for rented accommodation

From January 2004 the housing benefit was no longer provided as a separate benefit but within the assistance in material need, subject to the Act No. 599/2003 Coll. on assistance in material need (for more detail see section 4 on social assistance).

5.1 Conditions for receipt

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

5.2.2 Income and earnings disregards

5.2.3 Costs eligible for housing benefits

5.3 Tax treatment of benefit and interaction with other benefits

5.4 Treatment of particular groups

5.4.1 Young persons

5.4.2 Older workers

5.4.3 Others if applicable

6. Family benefits

Within the meaning of the SR legislation, family benefits include: state social support benefits such as child allowance, parental allowance and other allowances of state social support.

6.1 Conditions for receipt

From 1 January 2004 the child allowance has been provided under the Act No. 600/2003 Coll. on child allowance and on amending of the Act No. 461/2003 on social insurance, which repealed the Act No. 281/2002 Coll. and the Act No. 658/2002 Coll.

The entitlement conditions for the receipt of child allowance include:

- a) care of a qualifying person after a dependent child,
- b) permanent or temporary residence of the qualifying person and the dependent child in the territory of the Slovak Republic (without prejudice to the rights within the meaning of (EEC) Regulation 1408/71)

The following qualifying persons could claim the child allowance:

- a) the parent of a dependent child, (in the case of child adoption, from the date of the lawful ruling thereof the adoptive parent is the parent)
- b) a person, who has been entrusted a dependent child in care, substituting parental care, on the basis of a lawful ruling of the competent authority,
- c) a dependent child of lawful age, where there is no parent of the dependent child,
- d) a dependent child of lawful age, where s/he has been provided maintenance obligation from the parents,
- e) a dependent child of lawful age that concluded matrimony,
- f) a dependent child of lawful age, whose matrimony has terminated.

The child allowance is provided at a flat rate, monthly, for every dependent child.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

The child allowance is provided at a uniform amount monthly per 1 child. From January 1, 2011, the Government regulation set the amount of child allowance at EUR 22,01 per child and per month.

In January 2008 an extra allowance for dependent children whose parents are not eligible for the non-wastable child tax credit was introduced (This means that the parents receive pension or early retirement pension or disability pension because of decreasing ability to perform gainful activity by more than 70% or

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

of retirement pension or the age required to qualify for retirement). This benefit is paid only for this group of parents, not for all

. From January 1, 2011 the monthly amount of this allowance is EUR 10,32.

6.2.1.1 *Irregular additional payments* **[NEW ITEM]**

6.2.2 *Income and earnings disregards*

6.3 *Tax treatment of benefit and interaction with other benefits*

The child allowance is exempt from personal income tax.

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable*

7. Childcare for pre-school children

Compulsory school attendance starts, as a rule, at the beginning of the school year, following the date on which the child reached the age of six. A child who has not become school mature can have his or her school attendance put off by one year.

7.1 Out-of-pocket childcare fees paid by parents

In pre-school facilities which include kindergartens and special kindergartens (established by local government authorities), parents pay a monthly fee per child to cover part of the costs related to the material provision for the education process in a pre-school facility, up to 7.5 % of the amount of the subsistence minimum for a dependent child. The amount of subsistence minimum is currently laid down under the Act No. 601/2003 Coll. on the subsistence minimum and on amending of some acts, as later amended, at EUR 84,61 for dependent child (July 1st 2010) and EUR 86,65 for dependent child (July 1st 2011). Based on this amount, the upper limit of the monthly fee paid by parents for a child currently must not exceed EUR 6,35 (first half 2011) and EUR 6,50 (second half 2011).

In pre-school facilities which include kindergartens and special kindergartens (established by municipality), parents pay a monthly fee per child to cover part of the costs related to the material provision for the education process in a pre-school facility, up to 15 % of the amount of the subsistence minimum for a dependent child, currently must not exceed EUR 12,7 (first half 2011) and EUR 13,0 (second half 2011).

The legal representative of child does not pay the monthly fee upon fulfilment of the following conditions:

- the child is one year before the compulsory school attendance,
- if the legal representative of child is recipients of assistance in material need,
- child who is placed in the facility following a court decision

On the base of decision of kindergartens founder (local government authorities or municipality) the legal representative of child does not pay the monthly fee upon fulfilment of the following conditions:

- child has interrupted attendance in kindergarten for more than 30 consecutive calendar days due to illness or family reasons, demonstrably,
- child did not attend the kindergarten at the time of school holidays or adjourned their kindergartens due to the founder or other serious reasons, in such cases the legal representative pay proportion of determining the allowance.

The actual amount of fee, in the stipulated range, is determined by the director of the pre-school facility/ kindergarten or special kindergarten/, with a possibility to have the fee differentiated, for example, according to the number of siblings in the kindergarten, the child's age, duration of stay in the pre-school facility, etc.

The above scales for the fee paid by the parent are laid down in the regulation on pre-school facilities.

The childcare fees paid by parents are not tax deductible.

Fees are not taken into account when determining entitlement to other benefits, including social assistance.

7.2 Child-care benefits

Parental allowance is provided under the Act No. 571/2009 Coll. as amended in the later regulations.

7.2.1 Conditions for receipt

Since January 1, 2011, the entitlement conditions of the qualifying person for receipt of the benefit

- proper care of the parent for at least one child
 - a) up to the age of 3 years or
 - b) up to the age of 6 years, in case of long-term or heavy handicapped child or
 - c) up to the age of 6 years, in case of child who was entrusted into substitute parental care, namely up to 3 years from a valid ruling
- permanent residence or temporary residence in the territory of the Slovak Republic
- Entitled person to receive the parental allowance is
 - child's parent
 - natural person whose child is placed under the care replacing parental care
 - husband / wife, parent, child, if the child lives with parents in the household
- The proper care is the care regarded after a child provided in the interest of the child's physical and mental development, by which the child is given in adequate nutrition, hygiene, and compliance with preventive inspections.

The parent's allowance is providing neither of parents if one of both is eligible for maternity benefit or benefit of sickness insurance or sickness security of the same kind in abroad or contribution to the childcare.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

The parental allowance in amount of SKK 4 110 was provided till August 31, 2006. Since September 1, 2006 increased to SKK 4 440. This amount is paid until 31 August 2007. From 1 September 2007 the amount of parental allowance is SKK 4 560. In 2009 it was EUR 164,22 on a monthly basis.

The parental allowance is unified since September 1, 2006. It means the same amount is paid for working and also inactive parents. There is no partial allowance for the second parent.

Since January 1, 2010 parental allowance – two amounts:

- EUR 164,22 per month up to the age of 3 years.
- EUR 256 per month up to the age of 2 years to parent, who have pursued economic activity before a birth of a child and he/she was covered by sickness insurance at least 270 days.

Since January 1, 2011 is only one amount of parental allowance, 190,10 €.

For parents who have in the care over children who were born at the same time (twins, triplets, etc..) Introduces an increase in the amount of parental allowance by 25% (47.52 €) for each additional child.

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

If the school-age child is failure to perform compulsory schooling parental contribution amount is reduced by 50%(95.05 €)

If the beneficiary paid for the entire calendar month maternity benefits or comparable benefits as parents in a Member State for an amount less than the amount of parental allowance, EUR 190.10, parental allowance during the period of payment of parent or comparable benefits as parent in the Member State in the amount determined as the difference between the amount of parental allowance, EUR 190.10 and the amount of parent or similar benefits as a parent in a Member State.

7.2.2.2 Income and earnings disregards

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Parental allowance is discharge of income tax of physical persons.

7.2.4 *Treatment of particular groups*

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

8. Employment-conditional benefits

8.1 *Conditions for receipt*

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

8.3 *Tax treatment of benefit and interaction with other benefits*

8.4 *Benefit duration*

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

9. Lone-parent benefits

The system of social insurance does not provide a specific benefit designed for a lone parent. If the insured woman is a lone parent, the duration of receipt of maternity allowance (sickness insurance benefit) is extended, continuing beyond the lapse of the stipulated duration of entitlement to receive maternity allowance – 28 weeks; the right to maternity allowance in this case expires upon the completion of 37 weeks from the rise of the right to maternity allowance (in case of other insuree, who has taken the child in care, and is lone, the right to maternity allowance expires upon the completion of 31 weeks from the rise of the right to maternity allowance, but not longer than until completion of eight months of the child's age).

The government provides support to the lone parent in case the absent parent does not pay the alimonies for more than three months in a row. To be eligible for this support, the lone parent has to be a citizen of the Slovak Republic and their average wage cannot exceed subsistence minimum 2,2 times.

9.1 Conditions for receipt

The legislative act which sets the income limit of 2.2 times the subsistence minimum for lone parents to be eligible for support provided by the government is effective from 2008. The actual amount which the lone parent may receive from the government is 1.2 times the subsistence minimum for a dependent child (subsistence minimum for dependent children was 2 460 SKK in 2008, 84,52 EUR in 2009, 84,61 EUR in 2010, 86,65 EUR in 2011 it is re-evaluated annually), but each case is evaluated individually. If the parent does receive the government help, eligibility for the government help is re-evaluated every 6 months.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

The support exists from January 1, 2005. The highest amount a lone parent could receive has always been 1.2 times the subsistence minimum for a dependent child. Subsistence minimum for a dependent child:

January 1, 2005 – June 30, 2005 it was 2080 SKK

July 1, 2005 – June 30, 2006 it was 2150 SKK

July 1, 2006 – June 30, 2007 it was 2270 SKK

July 1, 2007 – June 30, 2008 it was 2340 SKK

July 1, 2008 – June 30, 2009 it was 2460 SKK

July 1, 2009 – June 30, 2010 it was 84,52 EUR

July 1, 2010 – June 30, 2011 it was 84,61 EUR,

From July 1, 2011 it is 86,65 EUR.

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

9.2.1.1 *Irregular additional payments* **[NEW ITEM]**

9.2.2 *Income and earnings disregards*

9.3 *Tax treatment of benefit and interaction with other benefits*

9.4 *Benefit duration*

9.5 *Treatment of particular group*

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

- *Basic relief:* An allowance for all taxpayers is set at 19.2* times the minimum living standard (MLS) for a basic adult as of January 1, 2011 (EUR 3 559.3 €)**. In 2011, the basic personal allowance for taxpayers with gross earnings net of employee social security contributions in excess of the threshold of EUR 18 538 per year ($18\,538 = 100^* \times \text{MLS}^{**}$) is gradually withdrawn. If gross earnings net of employee social security contributions exceed EUR 18 538 the personal allowance is calculated as 44.2 times the minimum living standard minus 0.25 times gross earnings net of employee social security contributions. The basic personal allowance reaches 0 if the gross earnings net of employee social security contributions amount to EUR 32 775.2 per year (employee's monthly gross wage of approximately EUR 3 074.7). The value of the basic tax allowance cannot become negative.

•

The degressive tax allowance is taken into account only once a year (when the tax return is filed or when the annual clearing is performed). Monthly tax prepayments during the year are therefore not affected.

- *Marital status relief:* An additional allowance is given to the principal earner in respect of a spouse living in a common household if the spouse earns no more than EUR 3 559.3 €. As from January 1 2007, the value of the spouse allowance depends on the gross earnings net of employee social security contributions of both the principal and the spouse.

If the principal's gross earnings net of employee social security contributions in 2011 are lower or equal to EUR 32 775.2 (= 176.8 times MLS) and the spouse's gross earnings net of employee social security contributions are lower than 3 559.3, the spouse allowance is calculated as the difference between 19.2* times MLS and the spouse's gross earnings net of employee social security contributions. If the gross earnings net of employee social security contributions of the spouse exceed 3 559.3, the spouse allowance is 0. If the principal's gross earnings net of employee social security contributions exceed EUR 32 775.2 (= 176.8 times MLS), the spouse allowance is calculated as 63.4* times MLS minus 0.25 times the principal's gross earnings net of employee social security contributions. This amount is reduced by the spouse's gross earnings net of employee social security contributions. The value of the spouse allowance cannot become negative.

The degressive tax allowance is taken into account only once a year (when the tax return is filed or when the annual clearing is performed). Monthly tax prepayments during the year are therefore not affected.

- Relief for social and health security contributions: Employee's social security contributions (see Section 2.1.) are deductible for income tax purposes.

* (the formulae for the calculation of the basic and marital status relief were changed temporarily in 2009 and 2010 as a result of the adoption of anti-crisis measures).

** (basic and marital status relief in 2010 are calculated according MLS valid to 1.1.2009 (EUR 178.92) what leads into abolishment of their automatic indexation only in 2010 tax period).

10.1.1.2 Standard tax credits

- *Relief for children:* The prior allowance for children has been replaced by a non-wastable tax credit as from January 2004. As from July 2007, the monthly tax credit is indexed as result of a new indexation rule. The tax credit is automatically indexed by MLS growth and is effective as from the 1st of July when also the new amount of MLS comes into force. During the period from 1st January to 30th June 2011 monthly tax credit was EUR 20.02 per child, from 1st July 2011 the amount of tax credit was EUR 20.51 € (the amount for 1 July is used in the modelling). The tax credit for each dependent child is deducted from the tax liability; if the credit exceeds the tax liability, the excess will be paid to the taxpayer. In order to receive this credit, the parent must annually earn at least six times the minimum monthly wage, which for 2011 is set at EUR 317 (the total annual earnings must therefore be at least EUR 1 902). The credit can be taken only by one partner. It can be taken by one partner for part of the tax period (year) and by the other partner for the rest of the tax period (year); this choice will have to hold for all dependent children. (For the purposes of this Report, it is assumed that the credit is claimed by the principal wage earner).
- Non-wastable tax credit – the employee tax credit (ETC) is effective as from 1.1.2009 and is targeted at low-income workers whose wages are subject to the payment of social and health insurance contributions. The amount of tax credit depends upon the employee's earnings and the number of months worked.

In order to receive this tax credit, the employee must fulfil the entitlement criteria which are:

- the employee's earnings over the tax period must be at least 6 times higher than the minimum wage, which for 2011 is set at EUR 317 per month,
- the employee must have worked for at least 6 months over the tax period (the conditions of month worked is considered to be fulfilled when only one hour is worked during that month).

The ETC is a non-wastable tax credit as is the child tax credit. The value of the ETC depends on the level of the employee's earnings. If earnings are between at least 6 times of the minimum wage and 12 times of the minimum wage, the credit is calculated as 19 per cent of the difference between the basic allowance (EUR 3 559.3) and the tax base (gross earnings net of employee SSC), evaluated at the level of the minimum wage (EUR 3294.36). If earnings exceed 12 times the minimum wage, then the ETC is calculated as 19 per cent of the difference of the basic allowance and the tax base (gross earnings net of employee SSC). The tax credit is zero when the tax base (gross earnings net of employee SSC) is equal to or higher than the basic allowance.

The highest value of the employee tax credit amounts to EUR 50.34 per year; this maximum value is received by employees with income between one half of the minimum wage and the full minimum wage, provided that the employee has worked for 12 months. As the employee tax credit is designed to benefit working individuals, its amount is adequately reduced for employees that have worked less months in the calendar year. Due to extensive paperwork it was decided that the tax credit will be paid within the framework of the annual clearing of the tax advances or when a tax return is filed.

10.1.2 *Income tax schedule (central government income tax)*

From January 1, 2004, the progressive personal income tax rates were abolished and replaced by a flat tax rate of 19%.

10.1.3 *State and local income taxes*

No separate state and local income tax exist.

10.2 *Treatment of family income*

The tax unit is the individual.

10.3 *Social security contributions and payroll taxes*

10.3.1 *Contributions payable by employees and benefit recipients*

Unemployment insurance is mandatory also for part-time employees. Act on Social Insurance defined monthly minimum assessment base for paying contributions for full-time employees and voluntary insured person. Monthly minimum assessment base was minimum wage. For employee who has appointed partial time in his/her labour contract according to the Labour code (§ 49) this monthly minimum assessment base was not applicable that means he has real monthly assessment base (could be lower than monthly minimum wage). Since January 1st 2010 Act on Social Insurance was renewed. The provision which established the minimum assessment base of employee as minimum wage was canceled. The monthly minimum assessment base of all categories of employees (part-time, full-time, etc.) is employee's real monthly wage. The minimum monthly assessment base of self employed persons and voluntary insured persons changed from minimum wage to 44,2 % of average monthly wage two years ago since January 1st, 2010.

Compulsory contributions of 13.4 per cent of gross wages and salaries are paid by all employees into government operated schemes. The total is made up as follows:

-- Health Insurance	4.0 per cent
-- Social Insurance	9.4 per cent
of which:	
-- Sickness	1.4 per cent
-- Retirement	4.0 per cent
-- Disability	3.0 per cent
-- Unemployment	1.0 per cent

There are maximum assessment bases MSSAB (maximum threshold for contributions to apply) that apply to social security contributions. From 2004 these MSSAB are no longer fixed values but depend upon the average wages (AW).

The latest amendment of the Social insurance Law, which is valid from 1st January 2011 adjusted formulae for calculation of MSSAB for retirement, disability and unemployment insurance. Average monthly MSSAB for retirement, disability and unemployment insurance are calculated as: $4 \times AW(t-2)$. Average monthly MSSAB for sickness insurance is calculated as: $1.5 \times AW(t-2)$. Average monthly MSSAB for health insurance is calculated as: $3 \times AW(t-2)$. Where $AW(t-2)$ is the average wage two years ago. The average wage (AW) is determined by the Statistical Office of the Slovak Republic – for 2009 it is EUR 744.50 per month.

The maximum assessment base for pension insurance (old age insurance and disability insurance) and for unemployment insurance has been increased from three to four times the average wage in the national economy since January 2008.

The assessment base for a full-time employee is his real monthly wage (also if actual wage in particular month is lower than minimum wage (e.g.: due to sickness). Since January 1st 2010 were the exceptions in minimum assessment base (of disabled employees, etc.) cancelled.

10.3.2 Contributions payable by employers

The total contribution for employers is 35.2 per cent of gross wages and salaries. The contribution comprises the health insurance contribution (10 per cent of gross wages and salaries) and the social insurance contribution (25.2 per cent). The social insurance rate reflects contributions to sickness insurance (1.4 per cent), disability insurance (3 per cent), retirement insurance (14 per cent), the Guaranteed Fund (0.25 per cent), accident insurance (the same accident insurance rate of 0.8 per cent is applied to all employers until the end of 2011; the rate will range from 0.3 to 2.1 per cent as from 2012 depending on the category of risk associated with the employer's activities), for unemployment (1 per cent) and to the Reserve Fund (4.75 per cent). All contributions are rounded down on two decimal places.

Since January 2005, Slovakia has introduced the privately managed fully funded pillar. This means that a given proportion (9 percentage points) of social contributions paid by the employer for retirement insurance flows directly to the private pension funds and not to the Social insurance agency as in previous years. Private pension funds are treated outside of general government; these contributions are therefore not taken into account in the calculations of average and marginal tax rates. For the purposes of this Report, the total contribution rate for employers is then 26.2 per cent to the Social Insurance Agency and 9 per cent to the private pension funds.

±

The MSSAB also applies to the employer's SSC. The next table presents the annual values of MSSAB:

	Formula for MSSAB	Value of MSSAB (2011)
- Health Insurance	3.0 x AW (t-2)	26 802.00
- Social Insurance		
of which:		
-- Sickness	(1.5 x AW (t-2))	13 410.00
-- Retirement	(4.0 x AW (t-2))	35 760.00
-- Disability	(4.0 x AW (t-2))	35 760.00
-- Unemployment	(4.0 x AW (t-2))	35 760.00
-- Accident		No limit
-- Guarantee fund	(1.5 x AW (t-2))	13 410.00
-- Reserve fund	(4.0 x AW (t-2))	35 760.00

10.3.3 Payroll taxes

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

11. Part-time work

11.1 *Special benefit rules for part-time work*

They have same eligibility criteria for benefit, payment rate and benefit duration as applicable for full-time workers.

11.2 *Special tax and social security contribution rules for part-time work*

The monthly minimum assessment base of all categories of employees (part-time, full-time, etc.) is since January 1st 2010 employee's real monthly wage.

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

12. Policy developments

The most important changes in the field of unemployment insurance have been effectual since January 1st, 2008.

12.1 Policy changes introduced: 2nd July 2010 – 1st July 2011

Since September 1st 2010, insuree is entitled to unemployment benefit, if he had unemployment insurance for at least two years within the last three years (for workers with term contracts remains previous conditions).

Since January 1st 2011, group of people who could be insured in unemployment shrink. Recipients of invalidity pensions who reach the pensionable age are no longer the subject of unemployment insurance.

12.2 Future policy changes announced since 1st July 2011

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.

Annex

Employment services - active labour market measures

Since the first of March 2009 were taken these amending and supplementing the Act No. 5/2004 Coll. on employment services:

I. Act no. 49/2009 Coll. amending and supplementing Act No. 5/2004 Coll. on employment services and on amendment and supplementing of certain acts as amended, and amending and supplementing Act no. 311/2001 Coll., the Labour Code – as of 1 March 2009

a) New active measures on the labour market

➤ **Allowance to encourage employment sustainability**

The allowance is granted to an employer who cannot assign work to employees due to serious operational reasons and provides them with a wage compensation of at least 60%. The allowance is dedicated for payment of statutory levies to insurance funds on healthcare and social insurance to be paid by the employer and employees who have it added to the paid wage compensation. The allowance may be provided for a maximum of 60 calendar day in total per year.

The aim of the measure is to prevent or eliminate dismissal of employees by an employer who has to deal with the consequences of the impact of the global financial and economic crisis.

➤ **Allowance to encourage creation of vacancies**

The allowance is granted to an employer who has been carrying out his or her business activity for at least 1 year and who creates a vacancy for a job seeker registered in the register of job seekers for at least 3 months and who retains the job for at least 12 months. A monthly allowance in the Region of Bratislava is 15% and in other regions 30% of the total cost of labour calculated on the basis of the average wage within the Slovak economy, however, a maximum of 50% of the total cost of labour of the hired employee. The allowance may be granted for a maximum of 12 calendar months.

The aim of the measure is to support creation of new vacancies, in particular for citizens who were dismissed from their original job by their original employer as being redundant as a result of the global financial and economic crisis.

➤ **Allowance to employee wages**

The allowance is provided to an employee who was registered in the register of job seekers for at least 3 months before being hired to a new job, who was granted a hardship benefit and extra allowances to the hardship benefit, and who found the new job on his or her own, and his or her wage is less than 1.7 multiple of the subsistence minimum (EUR 304.16). The allowance is provided on a monthly basis in the amount of 22% of the average wage of an employee in the Slovak economy during the first 12 months and in the amount of 11% during the remaining period, however, for 22 months at the longest.

The aim of this measure is to motivate unemployed people to search for jobs and accept low-paid jobs.

➤ **Allowance to encourage self-employment**

The allowance is granted to a job applicant who was registered in the register of job seekers for at least 3 months and who was granted a hardship benefit and who started business as a self-employed person. The allowance is provided to reimburse the advance payments of healthcare

insurance for a maximum of 22 months after having documented that the insurance premium had been paid. After elapsing of 18 months from the beginning of the self-employment, the allowance is provided also to reimburse social insurance, however, for a maximum of 4 months. The amount of the allowance is calculated from the minimal assessment base. Any simultaneous provision of other allowances to support self-employment activities is forbidden.

➤ **Allowance for self-employment in the field of processing of and trading in agricultural products**

The allowance is granted to a job seeker who was registered in the register of job seekers for at least 3 months and who requested to be taken out of the register due to carrying out business activities concerning processing of and trading in agricultural products. The allowance is provided to reimburse levies to insurance funds as in the case of the allowance to encourage self-employment.

The aim of these measures is to increase an interest of job seekers in self-employment possibilities in various areas of business, which are not demanding in terms of initial investments and respective skills, in particular for low-qualified groups of job seekers, and to support processors and traders of domestic agricultural products.

➤ **All new allowances are to be granted until the end of 2010 at the longest**

b) Further amendments

➤ **In respect of establishment of social ventures**

The amendment to the Act on employment services established more favourable legislative conditions for a temporary period for legal and natural entities applying for a status of a social venture (e.g. the use of 30% of the financial profit will no longer be required to be documented as used to create new vacancies).

Municipalities, associations of municipalities, self-governing regions and budgetary and subsidized organisations established by a municipality or a self-governing region and founding social ventures may now hire also job seekers other than disadvantaged ones within the obligatory 30% of employed disadvantaged job applicants, which sets out preconditions for incentives in particular for municipalities to establish social ventures.

Note: the temporary provision governing these changes in the field of social ventures was cancelled by a new temporary provision effective as of 1 April 2009.

➤ **In respect of investment aid**

For a temporary period, the amendment of the Act on employment services liberates the conditions for granting investment aid for creation of new vacancies by not applying the requirement of the average rate of registered unemployment rate.

➤ **In respect of labour mobility support**

The level of allowance for commuting to work is increased as follows

- up to 30 km – from EUR 36.52 to EUR 50,
- up to 60 km – from EUR 43.16 to EUR 80,
- up to 90 km – from EUR 53.12 to EUR 100,
- up to 120 km – from EUR 69.71 to EUR 110,
- up to 250 km – from EUR 82.99 to EUR 120,
- up to 600 km – from EUR 92.95 to EUR 130,
- over 600 km – from EUR 99.59 to EUR 135.

Increased amount of contributions for a transitional period from 1.3.2009 to 31.12.2010 with a preference for smaller distances were beyond the end of this period preserved to continue to promote inter-regional

labor mobility. (Decree of the Ministry of Labour no. 481/2010 Coll as the Ministry of Labour, Social Affairs and Family of the Slovak Republic. 44/2004 Coll, which implements § 69 paragraph. 2 of Law no. 5 / 2004 Coll on employment services and amending certain laws, as amended - from January 1, 2011).

II. Act no. 108/2009 Coll. amending and supplementing Act no. 461/2009 Coll. on social insurance as amended, and amending and supplementing certain acts – as of 1 April 2009

Act on employment services

The aim of the amendment was to establish a legal framework for enhancing self-employed businesses and making them more efficient, including self-employment activities within protected workshops or protected workplaces; furthermore, to reduce the administrative and financial difficulties related to granting of an allowance reimbursing operation costs of a protected workshop or a protected workplace and allowance reimbursing costs on transportation of employees. The objective was to react to the worsening economic situation resulting from increasingly more serious impacts of the global financial and economic crisis which affected also the field of self-employed activities.

➤ **Board for Employment Issues**

The scope of competencies of the Board for Employment Issues was enlarged by **establishing a committee to assess the efficiency and feasibility of a business plan** of applicants for an allowance to encourage self-employment and to check the results of acquired professional skills and practical training of these applicants with the aim to enhance the selection as well as performance of crafts or trades by self-employed persons.

The committee, similarly to the Board, is assumed to be based on a **tripartite principle**. Given the scope of activities, it is assumed that the representatives of sole traders' organisations (Slovak Craft Industry Federation, Slovak Chamber of Craft and Small Trade, and Slovak Association of Small Businesses) will be actively involved in the assessment process.

➤ **In respect of self-employment**

The process of evaluation of conditions fulfilment by an applicant for an allowance to encourage self-employment was extended by **an opinion of a committee** established at the Board for Employment Issues, in order to promote a longer performance or sustainability of crafts, trade and small businesses. This opinion becomes a basis for an Office of Labour, Social Affairs and Family to assess the possibility of concluding an agreement on granting the allowance. At the same time, based on the regional project the **Office of Labour, Social Affairs and Family will ensure a practical training** of the applicant - job seekers and disabled job seekers – on carrying out and operation of a craft or small trade, including a practical preparation of the business plan and strategy for preparation and development of small trade.

The **deadline for repeated granting of allowance** is prolonged for a job seeker **to three years after elapsing of a two-year period** of operating a small trade for which the allowance was granted, in order to strengthen the interest to sustain the opened small trade as well as to prevent abuse of the allowance.

➤ **Allowance reimbursing operation costs of a protected workshop or a protected workplace and reimbursing costs on transportation of employees**

The periodicity of granting of the allowance changed from quarterly to annually in order to reduce the administrative and financial difficulties related to submission of applications for the allowance and documenting fulfilment of the obligations by an allowance applicant. Applications for the allowance are submitted to an Office of Labour, Social Affairs and Family once a year by 30 April of the respective calendar year following the calendar year to be reimbursed.

➤ **In respect of social ventures**

The amendment to the Act on employment services stipulated a condition of concluding an employment relationship with an employee, for hiring of which the employer is granted an allowance to encourage creation and sustainability of jobs within a social venture, in the scope of at least one half of the determined weekly work time.

More favourable legislative conditions were established for a temporary period (by the end of 2010)

- a) for the purpose of granting a status of a social venture, when the conditions stipulated by the law do not have to be fulfilled with the exception of an entry of the social venture into the register of social ventures,
- b) for the purpose of assessment of at least 30% obligatory proportion of employed disadvantaged job seekers in the total employee number, selected entities (municipalities, self-governing regions, associations of municipalities, associations of self-governing regions and legal entities established or founded by a municipality or a self-governing region) now may include also job applicants who are not disadvantaged. An allowance will be provided for their employment.

III. The Act no. 266/2009 Coll. amending and supplementing Act no. 528/2008 Coll. on aid and support granted from European Communities Funds, and amending and supplementing Act no. 5/2004 Coll. on employment services and amending and supplementing certain acts, as amended – as of 7 July 2009

As a result of the global financial and economic crisis, protected workshops and protected workplaces found themselves in a situation without financial resources to cover their operation costs and without having access to loans. In order to sustain jobs for citizens with a handicap in protected workshops and protected workplaces despite financial problems, the adopted amendment **established conditions for a continuous provision of the allowance reimbursing operation costs of a protected workshop or a protected workplace and reimbursing costs on transportation of employees on a quarterly basis.** These costs concern wages and advance payments of healthcare insurance, social insurance and contributions to pension schemes, which are paid by an employer for employees with a handicap. In order to create equal conditions for the scope of reimbursed operation costs for employers who employ citizens with a handicap and citizens with a handicap performing a small trade, the amendment established conditions that would include costs on advance payments of healthcare insurance, social insurance and contribution to pension scheme paid by a self-employed citizen with a handicap into reimbursable costs of a citizen with a handicap carrying out a small trade.

IV. Law no. Z. 463/2009 amending and supplementing Law no. 5 / 2004 Coll z. Employment Services and on amendments to some laws as amended - 1 December 2009

- Creating favorable conditions for labor market entry selected groups of disadvantaged job seekers supplementing exemptions from conditions at least 3-month leadership of jobseekers registered as jobseekers for entitlement to the allowance under § 50e, and citizens who have become unemployed from because employment is terminated for organizational reasons and people younger than 25 years of age,
- Employers can contribute to the adoption of these groups of disadvantaged job seekers into employment already provided on the day following the date of the decision on its inclusion in the register of job seekers
- The tightening of conditions for granting the contribution pursuant to § 50e in order to prevent abuse by employers' contributions,
- Support job creation through self-employment of young people relaxing the conditions for entitlement to the allowance for self-employment for graduates according to § 8. 1 point. a) for a transitional period until the end of 2010.

V. Law no. 594/2009 Z. Laws amending and supplementing Law no. 48/2002 Z. z. Aliens and on amendment of certain laws as amended and amending certain acts - from 15 First 2010

- Enlarging the group of foreigners that do not require work permit, those who carry out work for companies that have been granted investment aid within the meaning of the law on investment aid and who are members of the statutory authority of the cooperative's registered office or a branch office in Slovakia

VI. Act no. 52/2010 Coll. amending and supplementing Act no. 5/2004 Coll. on employment services and on amendment and supplementing of certain acts as amended, and amending and supplementing certain acts – as of 1 March 2010

- The amendment modifies the conditions under which a job seeker registered in the register of job seekers may carry out a gainful occupation, as one of the measures to prevent illegal work.
- It introduces a new allowance to encourage regional and local employment, aiming at supporting entry and re-entry of specific groups of disadvantaged job seekers to the labour market and supporting the growth of regional and local employment rate, with a limited efficiency until 31 December 2011.
- In respect of supporting improvement of the legislative framework preventing illegal work and illegal employment
 - the amendment extends the competencies of Offices of Labour, Social Affairs and Family to notify repeated breaches of the ban on illegal employment so that a small trade licence could be withdrawn by respective bodies,
 - it stipulates an obligation of the Central Office of Labour, Social Affairs and Family and the Offices of Labour, Social Affairs and Family to impose fines for a breach of statutory obligations resulting from the Act on employment services as well as for illegal employment and, at the same time, an obligation to determine a bottom limit and increase the ceiling of a fine for illegal employment.
- In the temporary period ending on 31 December 2010, it is possible to repeatedly carry out activation in the form of a lesser municipal services pursuant to Article 52, and thus support a smooth sustainability of work habits of long-term unemployed citizens who are granted hardship benefits and contributions to hardship benefits, in order to increase their readiness to return to the labour market.

VII. Act no. 136/2010 Coll. on services in the internal market, amending and supplementing certain acts – as of 1 June 2010

An amendment to the Act on employment services aiming at establishment of a legal framework for implementation of Directive of the European Parliament and Council 2006/123/EC of 12 December 2006 on services in the internal market (OJ EU, L 376, 27 December 2006, p. 36-68) in the field of non-governmental providers of employment services.

A legal or natural entity may carry out paid employment mediation on the basis of a licence issued pursuant to the Small Trade Act. Cancellation or suspension of paid employment mediation is also governed by the Small Trade Act. Subsequently, the Central Office of Labour, Social Affairs and Family is no longer obliged to issue, modify, postpone or issue a copy of a licence to a natural or legal entity on paid employment mediation activity.

Other conditions and requirements of a natural or legal entity in respect of paid employment mediation remain governed by the Act on employment services.

VIII. Act no. 373/2010 Coll. amending and supplementing Act no. 5/2004 Coll. on employment services and on amendment and supplementing of certain acts as amended, and amending and supplementing certain acts – as of 1 January 2011, except for Article 50j (as of 23 September 2010)

- The amendment prolongs the effective period of one of the main temporary measures to mitigate the impacts of the global economic crisis on employment - the allowance to encourage employment sustainability (Article 50d) with a progressive mechanism of a reduced levies for employers by the end of 2011.
- It supports municipalities or self-governing regions, legal entities established or founded by municipalities or self-governing regions, legal entities administering water flows and legal entities established by the state and administering drainage systems, in order to enable them to create temporary jobs to prevent and remove the consequences of extraordinary events by hiring job seekers, by introducing a new allowance to encourage employment related to measures of flood protection and to deal with the consequences of an extraordinary event (Article 50j). The allowance is to be provided as reimbursement of partial wage costs on employees hired to do work related to measures of flood protection and dealing with the consequences of an extraordinary event, and in case of municipalities also to reimburse partial costs on work tools necessary for prevention or removal of consequences of an extraordinary situation.
- It cancels the provision of an allowance to encourage employment of graduates of trainings for the labour market (Article 51a) due to a low rate of use.
- It specifies the end of the period when a disadvantaged job seeker is being integrated into the job, in order to prevent cases of abuse of this period to postpone a regular employment of such disadvantaged job seeker.
- It determines a minimal duration of a graduate practice as at least 3 months.
- It specifies the condition for granting of an allowance to establish a protected workshop or a protected workplace by an employer, so as to stipulate clearly that the allowance to establish a protected workshop or a protected workplace is granted only in respect of a job seeker registered in the register of job seekers.
- It determines a maximum level of the allowance to sustain employment of a handicapped citizen, and specifies the work time for this purpose.
- It modifies all mechanisms related to approval and implementation of projects and schemes of active measures on the labour market in order to render the use of public financial means or state co-financing of ESF projects more effective.
- It specifies the competencies of the Central Office of Labour, Social Affairs and Family and Office of Labour, Social Affairs and Family as regards projects implementation.
- It harmonises provisions concerning placing orders or buying products as a replacement for the obligatory proportion of employing handicapped citizens, following the provisions of Act no. 25/2006 Coll. on public procurement and in accordance with the conclusions of an inspection carried out by the Supreme Audit Office of the Slovak Republic regarding inspection of schemes or tools focusing on increasing employment of handicapped persons in the public sector.

IX. Law no. 120/2011 Coll, amending and supplementing Law no. 5 / 2004 Coll z. Employment Services and on amendments to some laws as amended and amending and supplementing certain laws - 1 July 2011

The amendment:

- modify the conditions of the organization of the activation form of minor communal services for the municipality pursuant to § 52 the extension of the provision of small grants for services for self-governing region of organized self-governing regions, budgetary or contributory organization whose founder or founders of the autonomous region,

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

- expand the implementation of minor municipal services or smaller autonomous region (eg, emergency aid and alleviation of their consequences)
- extend the period for repetitive minor municipal services or community services in the form of smaller autonomous region of six to twelve calendar months,
- changed the local jurisdiction Labour Office, Social Affairs and Family for the contribution, the contribution provided by the Authority, in the district has long-term unemployed residence
- increased age job seekers from 25 years to 26 years in providing input to the implementation of graduate practice under § 51st

ANNEX

Unemployment assistance

The active policy of the labour market in terms of Act No. 5/2004 Coll. on employment service is being realized through the following active labour market measures of the which have also financial dimension in providing the contributions (the law currently in force):

ARTICLE 32

Mediation of Employment

(1) For the purposes of this Act, mediation of employment is an activity executed for the following purposes:

- a) Seeking out jobs and offering suitable employment to job seekers and to persons interested in employment, and
- b) Seeking out and offering suitable employees to employers.

(2) Employment mediation activities shall also include

- a) keeping records,
- b) information and advisory services,
- c) preparing lists of job vacancies and lists of the types of work sought by job seekers and persons interested in employment,
- d) publication of lists of job vacancies and the types of work sought by job seekers and persons interested in employment and their publication on the internet, in print and other mass-communication media,
- e) providing for the monitoring and analysis of employer demand for employees in terms of qualification structure and occupational structure,
- f) evaluation of the qualification and occupational structure of job seekers and the qualification and occupational structure of persons interested in employment taking into consideration employer demand,
- g) monitoring of the adaptation process of employees entering employment from the register of job seekers and monitoring of the length of time for which they remain in employment for at least six months after their entry into employment,
- h) provision of information and advisory services to employers focussing on facilitation of the adaptation of employees to new employment for at least six months after their entry into employment.

(3) Mediation of employment is executed

- a) By the Centre,
- b) By the Office and by workplaces established by the Office, and
- c) By legal persons and natural persons executing fee charged mediation of employment, mediation of temporary employment, mediation of supported employment or the integration of disadvantaged job seekers into the labour market pursuant to this Act, or by other legal persons and natural persons licensed to mediate employment under conditions specified in written agreements concluded with the Office.

(4) The Centre and the Office shall execute mediation of employment free of charge.

(5) The Office shall provide for mediation of employment through the use of jobs agents who may be employees of the Office or whose selection the Office may provide for pursuant to separate legislation

18aa). Jobs agents determine employers' requirements for employees usually based on the sectoral classification of jobs, employers' working conditions and monitor the situation in the labour market. A natural person may perform the activities of a jobs agent if he or she has completed the first level of higher education.

(6) The citizen applies for mediation of employment at the Office whose territorial boundaries correspond to his/her permanent residence. The citizen seeking employment may request any Office for information about the possibilities of employment.

(7) The Office of competence, from viewpoints of a citizen who has neither a permanent nor a temporary residence but stays at a schooling establishment or at a social service facility, is the Office whose territorial boundaries correspond to the registered office of the schooling establishment or of the social service facility. Such a citizen shall submit proof of his/her stay at a schooling establishment or at a social service facility in the form of a certificate issued by the schooling establishment or social service facility for the purpose.

(8) The competent Office for citizens of a Member State of the European Union, citizens of a state that is a contracting party to the agreement on the European Economic Area, citizens of the Swiss Confederation and their family members is the Office in whose territory their place of residence is situated.

(9) The Office of competence, from viewpoints of the alien who had been granted asylum or temporary shelter is the Office whose territorial boundaries correspond to the residence of the alien.

(10) The Office executes mediation of employment free of charge and impartially, holding in respect the citizen's selection from among offered jobs, and the principle of voluntary selection of employers from among job seekers. The result of employment mediation is the establishment of employment or a similar working relationship.

(11) There is no statutory claim to the mediation of a specific job.

(12) The Office shall, for employment mediation purposes

- a) Maintain the register of job seekers, the register of persons interested in employment and the register of vacancies,
- b) Provide for information and advisory services,
- c) Provide for professional consultancy,
- d) Compensate parts of travelling expenses of job seekers, linked to their entry interviewing, or selection process at the employer's site, if the travelling expenses exceed the sum specified in generally binding legal regulations.

(13) The travel expenses, pursuant to paragraph 12(d), shall mean the travel expenses by public transport means from the place of permanent residence, or the place of temporary residence to the place of the entry interviewing, or the selection procedure and back.

(14) Reimbursement of part of the travel expenses, pursuant to paragraph 12(d), shall be provided on the basis of an application in writing by the jobseeker, to which the certificate of attendance in introductory interview or selection procedure should be appended. The application in writing for reimbursement of part of the travel expenses shall be submitted by the jobseeker no later than within ten working days upon completion of the month, in which the entitlement to provision of the contribution for reimbursement of part of travel expenses has arisen.

(15) Compensation for travelling expenses under letter d) of paragraph 12 shall be provided by the Office or paid by a legal entity or natural person pursuant to § 2 (1) (m) based on a written agreement concluded with the Office or the Central Office.

ARTICLE 43

Professional Consultancy

(1) The Office may organise professional consultancy for the job seeker and for the person interested in employment.

(2) For the purposes of this Act, professional consultancy is the activity executed toward resolving problems in link with the vocational assertion of job seekers, toward harmonizing the conditions of his personality with the requirements of specific employment, toward influencing the applicant's decisions and conduct, and toward the social and working adaptation of the job seeker.

(3) Professional consultancy is executed by consultant who has achieved higher education of the second level.

(4) The Office may organise professional consultancy in the form of individual consultancy or group consultancy.

(5) The Office may prepare, in cooperation with a disadvantaged job seeker, an individual action plan to improve his or her employment prospects (hereinafter referred to as "the individual action plan"). The individual action plan is prepared on acceptance of an offer from the Office or at the written request of a disadvantaged job seeker. The Office must offer to prepare an individual action plan for a disadvantaged job seeker as defined in letters a) , b) and d) of § 8 (1) no later than four calendar months from the date of entry into force of a decision to register the citizen in the register of job seekers. The Office must offer to prepare an individual action plan for a disadvantaged job seeker who has been in the register of job seekers for more than 24 months no later than four months from end of the twenty-fourth month of the citizen's registration in the register of job seekers. A disadvantaged job seeker as defined in the third and fourth sentence must accept the Office's offer to prepare an individual action plan. The Office must begin to prepare an individual action plan with a disadvantaged job seeker who has submitted a written request for preparation of an individual action plan within 30 days of the submission of the written request.

(6) For the purposes of this act, an individual action plan is a written document that defines a procedure and timetable for individual measures to improve the disadvantaged job seeker's prospects for integration in the labour market based on an assessment of the level of education that the job seeker has achieved, his or her professional skills, personality profile, abilities, practical experience and opportunities of the disadvantaged job seeker. The individual action plan is prepared, evaluated and updated by a professional consultant in cooperation with the disadvantaged job seeker. After the preparation of the plan and its approval by both parties, the individual action plan becomes binding for the disadvantaged job seeker and the Office.

(7) The Office shall provide the jobseeker with part of the travel expenses incurred in his participation in activities within the professional consultancy provided by the Office, on the basis of an application in writing, where the travel expenses exceed the sum determined by a generally binding legal regulation to be issued by the Ministry. A legal entity or natural entity person pursuant to letter m) of § 2 paragraph 1 may reimburse a part of travelling expenses pursuant to the previous sentence based on an agreement concluded with the Central Office or the Office.

(8) The travel expenses, pursuant to paragraph 7, shall mean the expenses of travel by the public transport means, from the place of permanent residence, or the place of temporary residence to the place of the professional consultancy, and back.

(9) The Office may provide professional consultancy services itself or order such services from a natural person or legal entity licensed to provide such services or from a legal person or natural entity pursuant to § 2 (1) (m) (hereinafter referred to as the “professional consultancy services supplier”). Provider of professional counselling services may only be a natural person who has achieved higher education of second level and a legal person at which this condition meets **the responsible agent, by a separate regulation**.

(10) Where the provision of professional consultancy is rendered in excess of three days to a jobseeker and a person interested in employment by the Office, or where the Office arranges for the provision of professional consultancy for a jobseeker or a person interested in employment through a service supplier of professional consultancy, it shall reimburse the expenses for board, accommodation and the travel expenses from the place of permanent residence, or the place of temporary residence to the place of the professional consultancy, and back, pursuant to a special regulation. The jobseeker can be provided reimbursement, pursuant to the first sentence, also by the professional consultancy service supplier, where that has been part of the agreement, pursuant to paragraph 12.

(11) The Office shall provide a contribution for services for families with children, pursuant to § 46(10), to a jobseeker and a person interested in employment, which participate in the activities within the professional consultancy and who are parents caring for a child before commencement of compulsory schooling or persons pursuant to special regulation, if they apply for the contribution in writing.

(12) The Office shall conclude written agreement with the supplier of professional consultancy. The agreement for the provision of professional consultancy shall comprise in particular

- a) The aim of professional consultancy that will be provided by the professional consultancy services supplier,
- b) The number of job seekers receiving professional consultancy provided by the supplier,
- c) Date of the professional consultancy commencement,
- d) Location of the professional consultancy,
- e) Price of the professional consultancy,
- f) Method and date of payment of justified expenses for the provision of professional consultancy, and
- g) Commitment of the service supplier to report all changes in the numbers of job seekers receiving professional consultancy

(13) The selection of professional consultancy services supplier shall be governed by separate legislation.

ARTICLE 46

Education and preparation for the labour market of job seekers and persons interested in employment

(1) The Office may provide education and preparation for the labour market for a job seeker or a person interested in employment if it is necessary for their integration in the labour market based on an assessment of their abilities, work experience, professional skills, level of education achieved and physical ability to work, particularly in the event of

- a) a lack of professional knowledge or professional skills,

- b) the need to change knowledge and professional skills in line with demand in the labour market or
- c) the loss of the ability to perform work in current employment.

(2) An assessment of the job seeker pursuant to paragraph 1, including selection of a form of education and preparation for the labour market in accordance with § 45 shall be included in the professional consultancy services defined in § 43 or in the individual action plan for a disadvantaged job seeker, if elaborated. The Office may provide education and preparation for the labour market to a job seeker no earlier than the day following the entry into force of a decision on his or her registration in the register of job seekers. The Office may provide education and preparation for the labour market to a person interested in employment in his or her place of permanent or temporary residence no earlier than one month after the date of his or her other registration in the register of persons interested in employment.

(3) The Central Office and the Office may provide education and preparation for the labour market for a job seeker or a person interested in employment in national or pilot projects of education and preparation for the labour market approved by the Ministry. The Central Office and the Office shall provide for the development of projects and programmes of education and preparation for the labour market for job seekers and persons interested in employment that add to, deepen or broaden their professional skills and practical experience that satisfy requirements for professional skills and practical experience necessary to carry out work in jobs in line with employer demand. Education and preparation for the labour market of job seekers and persons interested in employment may also include activities relating to the provision of employment brokerage services, information and advisory services and professional consultancy services provided by the service suppliers for education and preparation for the labour market. A legal entity or natural person pursuant to § 2 (1) (m) may also provide education and preparation for the labour market may be also be provided to job seekers based on a written agreement concluded with the Central Office or the Office pursuant to § 53c.

(4) The Office may provide a contribution towards the education and preparation for the labour market of a job seeker of up to 100% of the cost of the education and preparation for the labour market and costs relating to education and preparation for the labour market based on a written agreement between

- a) the Office and the job seeker,
- b) the Office and the service supplier for education and preparation for the labour market or
- c) the Office and a legal entity or natural person pursuant to § 2 (1) (m).

(5) The Office may provide a contribution towards education and preparation for the labour market to a person interested with employment up to 100% of the costs of education and preparation for the labour market and the costs relating to education and preparation for the labour market for two years during which he or she is registered in the register of persons interested in employment based on a written agreement concluded between the Office and the person interested in employment.

(6) The Office shall reimburse a job seeker for whom the Office provides education and preparation for the labour market expenses for food and drink, accommodation and travelling expenses from the place of permanent or temporary residence to and from the place where education and preparation for the labour market takes place in accordance with separate legislation. Reimbursement of a job seeker pursuant to the first sentence may also be provided by the service supplier for education and preparation for the labour market if such provision is part of an agreement pursuant to paragraph 12 or by a legal entity or natural person pursuant to § 2 (1) (m) if such payment is part of an agreement pursuant to § 53c.

(7) The Office shall also reimburse expenses for food and drink, accommodation and travelling expenses from the place of permanent residence or temporary residence to and from the place where education and preparation for the labour market is provided in accordance with separate legislation to a person interested in employment for whom the Office provides education and preparation for the labour market if the person interested in employment is the parent of a pre-school age child, or a person pursuant

to separate legislation, who cares for a pre-school-age child or a citizen over 50 years of age. Reimbursement pursuant to the first sentence may also be paid to the person interested in employment by the service supplier for education and preparation for the labour market if such payment is part of an agreement pursuant to paragraph 12 or by a legal entity or natural person pursuant to § 2 (1) (m) if such payment is part of an agreement pursuant to § 53c.

(8) The Office shall reimburse contributions pursuant to paragraphs 4 to 7 to the service supplier for education and preparation for the labour market based on a signed written agreement. The person interested in employment shall pay the remainder up to 100% of the contribution pursuant to paragraph 5 for one educational activity to the service supplier for education and preparation for the labour market.

(9) The Office shall provide a contribution for services for a family with children to a job seeker or a person interested in employment who takes part in education and preparation for the labour market and who is a parent caring for a pre-school-age child or a person pursuant to separate legislation, 45) who cares for a pre-school-age child, if they submit a written request for the contribution. A job seeker may also receive the contribution pursuant to the previous sentence from a legal entity or natural person pursuant to § 2 (1) (m).

(10) The contribution for services for families with children pursuant to paragraph 9 shall cover a part of the documented costs for the child's attendance of pre-school facilities or payment for a part of proven expenses for child care provided by a natural person who has a licence to carry out such activities.

(11) The agreement on education and preparation for the labour market concluded between the Office and a job seeker or a person interested in employment, or between a legal entity or natural person pursuant to § 2 (1) (m) and job seeker shall contain

- a) the vocational orientation of the education and preparation for the labour market and the method for its acquisition,
- b) the location in which education and preparation for the labour market will be provided,
- c) the duration of education and preparation for the labour market including the dates when it starts and ends, the method, scope and conditions for payment of the contribution towards education and preparation for the labour market of the job seeker or person interested in employment,
- d) the rights and obligations of participants in education and preparation for the labour market,
- e) details of reimbursement of expenses for food and drink, accommodation costs and travelling expenses to and from the place where education and preparation for the labour market is provided to a job seeker or person interested in employment who is the parent of a pre-school age child, or a person pursuant to separate legislation, who cares for a pre-school-age child or a citizen over 50 years of age, the method and date of reimbursement, if the Office provides reimbursement of such expenses,
- f) the undertaking of the job seeker or person interested in employment to return reimbursement of costs paid for his or her education and preparation for the labour market if he or she leaves education and preparation for the labour market prematurely without serious grounds pursuant to paragraph 13,
- g) other agreed particulars.

(12) The agreement concluded between the Office and the service supplier of education and preparation for the labour market or between a legal entity or natural person pursuant to § 2 (1) (m) and the service supplier of education and preparation for the labour market shall state:

- a) the name address of the educational facility,
- b) the location in which education and preparation for the labour market will be provided,
- c) the duration of education and preparation for the labour market including the date when it starts and ends,

- d) the method for verifying the knowledge acquired by persons completing education and preparation for the labour market,
- e) the price offer for one participant,
- f) the number of job seekers and the number of persons interested in employment for whom the Office will provide education and preparation for the labour market or the number of job seekers for whom the legal entity or natural person pursuant to § 2 (1) (m) will provide education and preparation for the labour market,
- g) the total price that the Office will reimburse or the legal entity or natural person pursuant to § 2 (1) (m) will pay pursuant to paragraphs 4 to 7,
- h) the method and date of payment of the total offer price pursuant to paragraphs 4 to 7,
- i) the method and date for the provision or payment of reimbursement of expenses pursuant to paragraphs 6 and 7, if the Office or the legal entity or natural person pursuant to § 2 (1) (m) and the service supplier of education and preparation for the labour market agree on the reimbursement of such expenses.
- j) other agreed particulars.

(13) Job seekers or persons interested in employment may suspend this education and preparation for the labour market or withdraw from the agreement on serious grounds of health, family circumstances or personal matters that arise in the course of education and preparation for the labour market; the Office shall determine whether the grounds are sufficiently serious.

(14) The selection of a service supplier for education and preparation for the labour market for job seekers and persons interested in employment shall be governed by separate legislation.

ARTICLE 47

Education and preparation for the labour market for employees

(1) For the purposes of this act, education and preparation for the labour market for employees is provided by the employer in the interest of enhancing the employment prospects of their employees in the form of general education and preparation for the labour market for employees and specific education and preparation for the labour market pursuant to separate legislation.

(2) Education and preparation for the labour market for employees is carried out during working hours and represent an obstacle to work on the side of the employee; an employee is entitled to wage compensation for such a period equal to his or her average monthly earnings. Education and preparation for the labour market may only be provided outside working hours where the method of its presentation makes this necessary.

(3) The Office may provide an employer with a contribution for general education and preparation for the labour market for an employee and for specific education and preparation for the labour market for an employee up to the maximum set by separate legislation, if the employer will employ the employee for at least twelve months or if the education and preparation for the labour market for the employee takes place as part of measures to help prevent mass redundancies or limit mass redundancies.

(4) An agreement on the provision of a contribution towards education and preparation for the labour market for employees concluded pursuant to paragraph 3 shall include:

- a) the aim of education and preparation for the labour market,
- b) the duration of education and preparation for the labour market including the date when it starts and ends,
- c) a calculation of eligible costs per one participant,
- d) the level of reimbursement of eligible costs,

- e) conditions for the provision of reimbursement of eligible costs,
- f) conditions for the return of reimbursed eligible costs in the event of failure to comply with the agreement,
- g) other agreed particulars.

(5) If the Office provides an employer with a contribution pursuant to paragraph 3 amounting to more than 50% of eligible costs and the total amount of the provided grant is less than EUR 33 193,92, the employer must select the service supplier for education and preparation for the labour market by means of public call for tenders in accordance with separate legislation. If the Office provides an employer with a contribution pursuant to paragraph 3 amounting to more than 50% of eligible costs and the total amount of the provided contribution is EUR 33 193,92 or more, the employer must select the service supplier for education and preparation for the labour market for their employees using the procedure pursuant to separate legislation.

ARTICLE 48b

Provision of benefit during education and preparation for the labour market and during preparation to improve the employment prospects of a disabled citizen

(1) A job seeker who takes part in education and preparation for the labour market or a disabled job seeker and who takes part in preparation to improve his or her employment prospects pursuant to § 55a, for a period longer than one calendar month shall be entitled to benefit during education and preparation for the labour market or benefit during preparation to improve employment prospects.

(2) The Office shall decide on entitlement to benefit and provide benefit. Entitlement to benefit begins from the start date of education and preparation for the labour market or preparation to improve the employment prospects of a disabled citizen, except in the case of a period pursuant to paragraph 3.

(3) A job seeker as defined in paragraph 1 shall not be entitled to receive benefit for days during which he or she is entitled to unemployment benefit pursuant to separate legislation.

ARTICLE 48c

Amount of benefit

(1) Benefit is provided for the calendar month in an amount equal to the subsistence minimum provided to one adult natural person pursuant to separate legislation in force on the first day of the calendar month in which the job seeker begins education and preparation for the labour market or the disabled citizen, who is a job seeker begins preparation to improve his or her employment prospects.

(2) If the conditions for provision of benefit are satisfied for only a part of the calendar month, the amount of the entitlement to benefit shall be proportionate to the number of calendar days in which the conditions for entitlement to benefit were satisfied. The resulting amount is rounded to whole crowns upwards.

(3) Benefit shall be paid retrospectively for the month no later than the end of the following calendar month.

(4) If it is subsequently found that benefit was not granted, was withdrawn or provided in a lower amount than that to which the recipient was entitled, an additional grant will be made or the amount will be increased and arrears will be paid.

(5) If it is subsequently found that benefit was awarded or provided in a higher amount than the amount of the entitlement or the amount granted, or was provided incorrectly, the Office shall decide on a reduction or stoppage of payments from the day following the last day of the period for which payment has already been made.

(6) If the benefit was incorrectly granted or provided or provided in a higher amount than the recipient was entitled to through the fault of the job seeker or disabled job seeker, in particular because he or she failed to disclose information or provided false information on certain matters, or failed to carry out his or her duty of notification, he or she must return the incorrectly received benefit.

(7) A job seeker or disabled job seeker must also return provided benefit even if a court has decided that the termination of their employment or similar work relationship was invalid and that the relationship remains in force. The claim for the return of the benefit expires after five years from the date from which it was not owed at all or not owed in the provided amount.

(8) Benefit is also provided to a job seeker or a disabled job seeker during education and training for the labour market, training or preparation for work that is provided abroad.

ARTICLE 49

Contribution for Self-Employment

(1) For the purposes of this Act, self-employment is an activity, which is carried out or operated by a self-employed person, pursuant to § 5.

(2) The contribution for self-employment (hereinafter referred to as “the contribution”) shall be provided to a job seeker registered in the register of job seekers for at least three months who begins and will continue this activity for at least two years, if he or she makes a written request for the contribution. The contribution is provided to cover costs relating to self-employment. The contribution shall not be provided to a job seeker who is a disabled citizen and the recipient of a contribution pursuant to § 57 and § 60.

(3) The amount of the contribution shall be as follows:

- a) in the Bratislava self-governing region 35% of 16-times the overall price of work calculated from the average wage of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year previous to the calendar year in which the contribution is provided,
- b) in other self-governing regions 45% of 16-times the overall price of work calculated from the average wage of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year previous to the calendar year in which the contribution is provided,

(4) For the purposes of this act, the overall price of work shall be the sum of the average wage of an employee in the economy of the Slovak Republic published by the Statistical Office of the Slovak Republic for the relevant period and advance payment of insurance contributions for health insurance, social insurance and contributions to old age pension saving payable by an employer.

(5) The level of the contribution pursuant to paragraph 3 depends on the average level of registered unemployment in the district.

(6) The contribution shall be granted by the Office of territorial competence at the place of creation of the self-employment job.

(7) The Office shall conclude a written agreement on the provision of the contribution with the job seeker; the agreement shall state the following particulars:

- a) the personal data and identifying data of the contracting parties,
- b) the form of self-employment according to the statistical classification of economic activity,
- c) the date of the start of the operation or performance of business as a self-employed person,
- d) the amount of the contribution, other specifications and the method for payment,
- e) the conditions subject to which the contribution is provided,
- f) the method for checking compliance with the agreed conditions,
- g) the conditions and method for the return of the contribution or part thereof in the event of a failure to comply with the agreed conditions,
- h) the undertaking of the job seeker to inform the office of any change in the agreed conditions within at most 30 calendar days,
- i) other agreed particulars.

(8) Concluding the agreement on the provision of the contribution shall be contingent upon completion of preparatory courses of self employment ,organised by the Office and upon submission of a business plan of the job seeker, including the estimated costs of commencing the operation or performance of self-employment activities. The basis for assessment of the conditions under first sentence, is the opinion of the Commission under § 18 paragraph 3. The particulars of the business plan and criteria for assessing the effectiveness and reality of the business plan, shall the Centre designate in the internal regulation. The basis for assessment of the conditions under the first sentence is the opinion of the Commission under § 18 par. 3. Based on a regional project, the Office shall also provide for the practical preparation of the job seeker for starting the operation or performance of self employment activity, including practical preparation of the business plan, the strategy for the preparation and development of business .

(9) The citizen having terminated the operation or performance of self-employment before lapse of two years shall return the proportional part of the contribution falling on the period when self-employment had not been operated or performed within three calendar months from the termination, unless a different period was agreed with the Office and he/she can be included into the register of job-seekers since the day following after laps of two years since the start of operation or performance the self-employment. Return of the contribution is not required, when the operation or performance of self-employment is terminated for reasons of decease, or for reasons of health assessed pursuant to § 19. The Citizen having terminated the operation or performance of self-employment before laps of two years due to reasons of health can be included into the register of job-seekers since the day following after termination of operation or performance the self-employment.

(10) Contribution shall be again granted after the expiration of three years period from the day following the expiration of two years from starting the operation or performance of self employment for which the contribution was provided.

ARTICLE 49a

Contribution for job familiarisation for a disadvantaged job seeker

(1) An employer may provide job familiarisation for a disadvantaged job seeker before taking him or her on as an employee (hereinafter referred to as “the provider of job familiarisation”).

(2) For the purposes of this act, job familiarisation for a disadvantaged job seeker shall mean the acquisition of practical experience and working habits necessary for the performance of work for the provider of job familiarisation. In the case of job familiarisation for a job seeker who is a disabled citizen, assistance may be provided by an assistant at work who is an employee of the provider of job familiarisation.

(3) The Office shall select disadvantaged job seekers for job familiarisation in cooperation with a legal entity or natural person pursuant to § 2 (1) (m) or with a provider of job familiarisation.

(4) Job familiarisation for a disadvantaged job seeker is implemented based on a written agreement concluded between the disadvantaged job seeker and the Office and on a written agreement concluded between the Office and the provider of job familiarisation or based on a written agreement concluded between a legal entity or natural person pursuant to § 2 (1) (m) and a provider of job familiarisation and on a written agreement concluded between a legal entity or natural person pursuant to § 2 (1) (m) and a disadvantaged job seeker.

(5) Job familiarisation for a disadvantaged job seeker is provided in the workplace of the provider of job familiarisation over a period of at most three calendar month for at most 30 hours per week except in the week in which job familiarisation begins. The start of daily working hours and their duration shall be set by the provider of job familiarisation.

(6) The Office shall provide the disadvantaged job seeker with a contribution for job familiarisation (hereinafter referred to as “the contribution”) every month in the amount of the subsistence minimum for one adult person pursuant to separate legislation. If the disadvantaged job seeker did not participate in job familiarisation for the whole calendar month, the amount of the contribution shall be proportionate to the number of working hours of participation. The resulting amount is rounded to whole eurocent upwards.

(7) The contribution shall be paid no later than 30 days after the end of the previous calendar month.

(8) The Office or a legal entity or natural person pursuant to § 2 (1) (m) shall also pay the following additional contributions to a disadvantaged job seeker who participates in job familiarisation:

- a) travelling expenses from his or her place of permanent or temporary residence to and from the place where job familiarisation takes place and expenses for food and drink pursuant to separate legislation,
- b) documented expenses for accommodation during job familiarisation that is provided outside the disadvantaged job seeker’s place of permanent or temporary residence, up to a maximum of EUR 33,20 per day,
- c) expenses for services for a family with children pursuant to § 46 (9),
- d) costs for insurance against liability for loss or damage incurred by the provider of job familiarisation caused by the disadvantaged job seeker and costs for insurance relating to job preparation for a disadvantaged job seeker in Slovakia or abroad,
- e) costs for accident insurance for the disadvantaged job seeker pursuant to letter e) of paragraph 9.

(9) The agreement on job familiarisation concluded between the Office and a disadvantaged job seeker or a person interested in employment, or between a legal entity or natural person specified in § 2 (1) (m) and a disadvantaged job seeker shall contain

- a) the professional orientation of the job familiarisation and the type of activities performed during job familiarisation.
- b) the location for job familiarisation,

- c) the start and duration of job familiarisation,
- d) the rights and obligations of the disadvantaged job seeker during job familiarisation,
- e) the undertaking of the disadvantaged job seeker to conclude an insurance policy for accident insurance against injury during job familiarisation no later than the date when he or she begins job familiarisation,
- f) the undertaking of the disadvantaged job seeker to reimburse the Office for loss or damage caused to the provider of job facilitation with deliberate intent,
- g) details of the reimbursement or payment of contributions pursuant to paragraphs 6 and 8,
- h) the undertaking of the disadvantaged job seeker to return the provided contribution if he or she ends job familiarisation early before the agreed date without serious grounds pursuant to paragraph 11,
- i) other agreed particulars.

(10) The agreement concluded between the Office and the provider of job familiarisation or between the legal entity or natural person pursuant to § 2 (1) (m) and the provider of job familiarisation shall contain

- a) the name and address of the provider of job familiarisation,
- b) the location for job familiarisation,
- c) the professional orientation of the job familiarisation and the type of activities performed during job familiarisation.
- d) the duration of job familiarisation including the dates when it starts and ends,
- e) the number of disadvantaged job seekers for whom job familiarisation will be provided,
- f) the period during which job familiarisation will be implemented with the assistance of an assistant at work, if such an assistant is required during job familiarisation,
- g) the conditions and the duration of the assignment and reassignment of the position designated for job familiarisation for a disadvantaged job seeker,
- h) the undertaking of the provider of job familiarisation to keep records of the attendance of the disadvantaged job seeker during job familiarisation which will be submitted monthly to the Office or the legal entity or natural person pursuant to § 2 (1) (m) no later than five working days after the end of each calendar month or no later than five working days after the end of job familiarisation or after the premature termination of job familiarisation for the disadvantaged job seeker,
- i) the undertaking of the provider of job familiarisation to notify the Office or the legal entity or natural person pursuant to § 2 (1) (m) if the disadvantaged job seeker does not participate in job familiarisation or ends job familiarisation early; such notification shall be delivered within two working days and shall include the reason for the early termination of job familiarisation,
- j) the undertaking of the provider of job familiarisation that the following day after the completion of job familiarisation he will employ, for a minimum period of six calendar months, a disadvantaged job seeker who has participated in more than one full calendar month of job familiarisation
- k) the undertaking of the provider of job familiarisation to enable the Office or the legal entity or natural person pursuant to § 2 (1) (m) to inspect the material performance of the agreement,
- l) other agreed particulars.

(11) A disadvantaged job seeker may cancel job familiarisation or withdraw from the agreement on serious grounds relating to health, family matters or personal issues that arise during job familiarisation; the Office shall decide on the seriousness of the grounds.

(12) If a disadvantaged job seeker cannot take part in job familiarisation due to temporary incapacity for work, he or she must report this to the Office within three working days of the start of temporary incapacity for work. If the temporary incapacity for work of the disadvantaged job seeker lasts no longer than 30 calendar days, job familiarisation shall be extended by the length of the temporary

incapacity for work. If temporary incapacity for work lasts longer than 30 days, the Office will terminate the agreement and conclude an agreement with another disadvantaged job seeker.

(13) If the provider fails to comply commitment under paragraph 10 (j), a new agreement under paragraph 10 may concluded not sooner than six months from the date of breach of the obligation under paragraph 10 (j).

ARTICLE 50

Contribution to support the employment of a disadvantaged job seeker

(1) The contribution to support the employment of a disadvantaged job seeker (hereinafter referred to as the “the contribution”) shall be provided to an employer who takes on a disadvantaged job seeker who has been registered in the register of job seekers for at least three months as an employee in a created job. The contribution shall not be provided for the employment of a disadvantaged job seeker for whose employment a contribution has been provided in the same period pursuant to § 50a, § 50c, § 51a (article is repealed with effect from 1 January 2011), § 56 or 56a.

(2) The amount of the contribution shall be as follows:

- a) in the Bratislava self-governing region 20% of the overall price of work pursuant to § 49 (4) calculated from the average wage of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year previous to the calendar year in which the contribution is provided,
- b) in other self-governing regions 30% of the overall price of work pursuant to § 49 (4) calculated from the average wage of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year previous to the calendar year in which the contribution is provided,

(3) The employer must retain the created job for the employment of disadvantaged job seekers for support of whose employment the contribution is provided for at least 24 calendar months. The creation of a job by the employer is defined as an increase in the number of jobs that represents an overall increase in the average number of its employees in a period of 12 calendar months compared to the equivalent previous period. If there is no increase in number of jobs as defined in the previous sentence, the employer must prove that such an increase failed to take place as a result of the cancellation of jobs due to redundancy.

(4) The amount of the contribution pursuant to paragraph 2 and the time for which it is provided shall be dependent on the average level of registered unemployment in the district in which the employer creates the job and the legal form and the area of activity of the employer.

(5) The contribution shall be provided to the employer by the Office in whose territory the job is created, if the employer requests the contribution in writing.

(6) The contribution shall be provided for at most 24 calendar months from the conclusion of the written agreement pursuant to paragraph 7.

(7) The office shall conclude a written agreement on the provision of the contribution with the employer; the agreement shall include the following particulars:

- a) the personal data and identifying data of the contracting parties,
- b) the characteristics of the created job or the created jobs,
- c) the number, occupation structure and qualification structure of the disadvantaged job seekers taken on in newly created jobs,

- d) the date of creation of job or jobs, the period for which the jobs will be maintained and the number of months during which disadvantaged job seekers will be employed in these jobs,
- e) the maximum level of the overall price of work for each disadvantaged job seeker taken on,
- f) the conditions and the method for the provision of the contribution,
- g) the method for checking compliance with the agreed conditions,
- h) the conditions and the date for payment of the provided contribution,
- i) the method for the return of the contribution or part thereof in the event of a failure to comply with the agreed conditions,
- j) the undertaking of the employer to submit the employment contracts of employees by a set date and to notify the Office no later than 30 calendar days after every termination of employment,
- k) the undertaking of the office to pay the contribution to the employer monthly no later than 30 calendar days after the submission of documents by the employer,
- l) the undertaking of the employer to inform the Office of any change in the agreed conditions within at most 30 calendar days,
- m) other agreed particulars.

ARTICLE 50a

Contribution to support the retention in employment of employees with low pay

(1) A contribution to support the retention in employment of employees with low pay taken on as employees from the register of job seekers (hereinafter referred to as “the contribution”) is provided to an employer to cover

- a) advance payment of insurance premiums for contributions to health insurance and social insurance and contributions to old age pension saving paid by the employer and
- b) advance payment of contributions to health insurance and social insurance paid by the employee.

(2) The contribution shall be provided if the gross monthly pay of a full time employee amount to at most 50% of the average monthly wage of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year preceding the calendar year in which the contribution is provided and the employee was registered in the register of job seekers for at least three months before being taken on as an employee. If the citizen was a seasonal worker before his or her registration in the register of job seekers, the condition of registration in the register of job seekers pursuant to the previous sentence is considered to be satisfied from the date of entry into effect of a decision on his or her registration in the register of job seekers.

(3) The contribution shall be provided to the employer for at most 24 calendar months. The contribution corresponding to the amount pursuant to letter b) of paragraph 1 is an includable component of the wage of the employee after deduction of mandatory contributions to insurance funds paid by the employer from this wage. The employer shall pay the contribution pursuant to letter b) of paragraph 1 to the employee retrospectively every month together with wage on the set pay day.

(4) The employer must retain the job for which the contribution is provided for at least 24 calendar months. If the average number of jobs measured over the last 12 months is lower than for the equivalent preceding period, the employer must show that this reduction is due to the cancellation of jobs due to redundancy.

(5) The Contribution is provided to the employer by the Office in whose territory is located the employer’s registered office or permanent residence, if the employer is a natural person, on conclusion of a written agreement, in an amount corresponding to the amount of the contributions pursuant to paragraph 1 from wages in the relevant calendar month. The contribution shall not be provided if a contribution

pursuant to § 50, § 50c (article is repealed with effect from 1 January 2011) § 56 or 56a is provided in the same period.

- (6) The agreement concluded pursuant to paragraph 5 shall state
- a) the number of employees taken on and their occupation structure,
 - b) the maximum level of the overall price of work for each job seeker taken on and the number of months of employment of the job seekers taken on,
 - c) the method for provision of the contribution,
 - d) the undertaking of the employer to submit the employment contracts by a set date and to notify the Office no later than 30 calendar days after every termination of employment,
 - e) the undertaking of the Office to pay the contribution monthly no later than 30 calendar days after the submission of documents,
 - f) the undertaking of the employer to inform the Office of any change in the agreed conditions within at most 30 calendar days,
 - g) the method and deadline for the return of the contribution or part thereof in the event of a failure to comply with the agreed conditions,
 - h) other agreed particulars.

ARTICLE 50b

Support for the employment of a disadvantaged job seeker in a social enterprise

- (1) For the purposes of this act a social enterprise is a legal entity or natural person that
- a) employs employees who were disadvantaged job seekers prior to their employment and such employees make up the least 30% of the enterprise's total number of employees,
 - b) provides support and assistance in finding employment in the open labour market for employees who were disadvantaged job seekers prior to their employment,
 - c) uses at least 30% of the funds obtained annually from income from standard activities remaining after the payment of all operating costs in the relevant tax period to create new jobs or improve working conditions,
 - d) is registered in the register of social enterprises.

(2) To support and assist employees in finding employment in the open labour market, the social enterprise shall cooperate with the Office and legal entities and natural persons that support or provide integration in the labour market for disadvantaged job seekers.

(3) A natural person may be recognised as a social enterprise if he or she has a blameless reputation. In the case of a legal entity, the condition of blameless reputation must be satisfied by the person who acts in the name of the legal entity; for the purposes of this act, blameless reputation is documented by an extract from the criminal register no more than three months old.

(4) The Central Office shall grant social enterprise status by a decision based on a written application submitted by a legal entity or natural person if the conditions laid down in paragraphs 1 and 3 are satisfied. Social enterprise status can also be granted to a sheltered workshop or sheltered workplace subjects to the conditions laid down in the previous sentence.

(5) The Central Office shall grant social enterprise status for an unlimited period. The Central Office may change, suspend or cancel the decision granting social enterprise status or issue a duplicate of the decision based on a written request of the social enterprise or a written recommendation of the Office. The Central Office shall issue a duplicate in the event of the loss, theft or invalidation of the decision granting social enterprise status or in the event of the loss of a decision on the change, suspension or cancellation of social enterprise status.

- (6) An application for the granting of social enterprise status shall state
- a) the name, seat and identification number of the applicant in the case of a legal entity or the name, surname, personal identification number and address of permanent residence of the applicant in the case of a natural person,
 - b) the form of activity according to the statistical classification of economic activity,
 - c) the date as of which the legal entity or natural person requests the granting of social enterprise status.

- (7) An application for the granting of social enterprise status shall also include
- a) the business plan including a calculation of expected income, expenditure and profit before distribution,
 - b) documentation of compliance with the conditions laid down in paragraphs 1 and 3,
 - c) an extract from the commercial register or another document permitting the applicant to operate as a business and to perform its declared activities,
 - d) documentation of ownership of premises or the rental of premises,
 - e) proof of material readiness to perform the declared activities of the social enterprise,
 - f) a list of cooperating subjects,

(8) The register of social enterprises shall be kept by the Central Office. The Central Office shall carry out registration in the register of social enterprises on the date stated in the application for the granting of social enterprise status. If the application does not state a date as of which the legal entity or natural person requests the granting of social enterprise status or if the decision on the granting of social enterprise status is issued later than the date stated in the application for the granting of social enterprise status, the Central Office shall carry out registration in the register of social enterprises on the date stated in the decision on the granting of social enterprise status. The Central Office shall make the register of social enterprises available on its website.

- (9) The register of social enterprises shall state
- a) the name, seat and identification number of the applicant in the case of a legal entity or the name, surname, personal identification number and address of permanent residence of the applicant in the case of a natural person,
 - b) the form of activity according to the statistical classification of economic activity,
 - c) changes or cancellation of matters recorded in the decision on the granting of social enterprise status.

(10) If a social enterprise fails to comply with the conditions pursuant to this act for at least 12 calendar months, the Central Office shall cancel the granted social enterprise status. The Central Office shall grant social enterprise status no earlier than two years after the cancellation of a previous social enterprise status.

- (11) The social enterprise must
- a) ensure protection of the personal data of its employees,
 - b) create conditions for the performance of controlling in relation to its activities and provide information and documentation requested by the controlling authorities,
 - c) submit to the Central Office an annual report on the results of its activities in the structure pursuant to letters a) to c) of paragraph 1,
 - d) notify the central office of all changes in the information given in the decision on the granting of social enterprise status.

ARTICLE 50c

(1) The contribution to support the creation and retention of jobs in a social enterprise (hereinafter referred to as “the Contribution”) for employees who were disadvantaged job seekers prior to their employment shall be provided by the Office in whose territory the social enterprise carries out its defined activities. A condition for the provision of the contribution is the conclusion of a fixed-term employment contract of at least half the established weekly working time with a disadvantaged job seeker.

(2) The Office shall provide the contribution for 12 calendar months based on a signed, written agreement; the amount of the contribution shall be at most 50% of the overall cost of work pursuant to § 49 (4) calculated from the average wage of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year previous to the calendar year in which the contribution is provided. The contribution shall not be provided for the employment of a disadvantaged job seeker for whose employment a contribution has been provided in the same period pursuant to § 50, § 50a, (article is repealed with effect from 1 January 2011), § 56 or § 56a.

(3) The office will also provide the contribution based on a signed, written agreement after the end of 12 calendar months if the employee for the support of whose employment the contribution was provided pursuant to paragraph 2 is not placed in the open labour market. The amount of the contribution shall be at most 40% of the overall cost of work pursuant to § 49 (4) calculated for the first to third quarter of the calendar year previous to the calendar year in which the provision of the contribution is extended, for at most 12 calendar months.

- (4) The agreement concluded pursuant to paragraph 2 or 3 shall state
- a) the number of jobs and their occupational structure,
 - b) the maximum level of the overall cost of work for each disadvantaged job seeker employed or each employee for whom the contribution to support the retention of employment is extended,
 - c) the method for provision of the contribution,
 - d) the undertaking of the social enterprise to submit the employment contracts by a set date and to notify the Office no later than 30 calendar days after every termination of employment,
 - e) the undertaking of the Office to pay the contribution to the social enterprise monthly or no later than 30 calendar days after the submission of documents by the social enterprise,
 - f) the undertaking of the employer to inform the Office of any change in the agreed conditions within at most 30 calendar days,
 - g) the method and deadline for the return of the contribution or part thereof in the event of a failure to comply with the agreed conditions,
 - h) other agreed particulars.

ARTICLE 50d

Allowance to encourage employment sustainability (from 1 March 2009 to 31 December 2011)

(1) The allowance to encourage employment sustainability (hereinafter referred to only as the “allowance”) shall be granted to an employer who sustains jobs even in case of serious operation reasons which prevent him or her to assign work to employees, and who, in order to prevent or restrict lay-off of employees, limits his or her operational activities for a temporary period and after an agreement with the Office by not assigning work to employees of at least 4% of the defined weekly work time. The allowance shall not be granted for employing a job seeker, in respect of whose employment an allowance pursuant to Article 56a was granted for the same period of time.

- (2) The allowance shall be granted to employers to reimburse
- a) advance payments of healthcare insurance, social insurance and contributions to the pension scheme, which are paid by the employer based on the wage compensation pertaining to the employee pursuant

to a special regulation, however, at maximum based on wage compensation amounting to the average wage of an employee within the Slovak economy, for the first to third quarter of the calendar year preceding the calendar year in which the allowance is granted; and

- b) advance payments of healthcare insurance and social insurance, which are paid by the employee based on the wage compensation pertaining to the employee pursuant to a special regulation⁵⁰⁾, however, at maximum based on wage compensation amounting to the average wage of an employee within the Slovak economy, for the first to third quarter of the calendar year preceding the calendar year in which the allowance is granted.

(3) The Office shall grant the allowance to the employer for days, for which wage compensation is paid to the employee, for a maximum of the total of 60 calendar days within a calendar year. The allowance pursuant to paragraph 2, letter b) shall be paid by the employer to the employee on a monthly basis, always for the previous month together with the wage by the deadline determined for wage payment.

(4) The allowance shall be granted by the Office to an employer on the basis of a written agreement concluded pursuant to paragraph 5 below. The allowance is granted by the Office, under the territorial competence of which the registered seat of the employer is situated, or within which the employer has a permanent residence if the employer is a natural entity.

(5) The agreement concluded pursuant to paragraph 4 above shall contain

- a) identification data of the parties to the agreement,
- b) date of beginning and termination of the period during which the jobs are sustained,
- c) number of employees and their professional structure,
- d) amount of wage compensation of an employee pursuant to a special regulation,
- e) conditions and manner of granting the allowance,
- f) an obligation of the Office to grant the allowance within an agreed deadline, at the latest within 30 calendar days of the day the employer submits all documents,
- g) an obligation of the employer to notify to the Office every change in the agreed conditions at the latest within 30 calendar days,
- h) other agreed provisions.

ARTICLE 50e

Allowance to encourage creation of vacancies (from 1 March 2009 to 31 December 2010)

(1) The allowance to encourage creation of vacancies (hereinafter referred to only as the “allowance”) shall be granted to an employer, who creates a vacancy and employs a job seeker who was registered in the register of job seekers for at least 3 months, or employs a disadvantaged job seeker pursuant to § 8 (1) (a) or (k). The allowance shall be granted to an employer who continuously carried out his or her business activity for at least 12 month before employing a job seeker for a newly created vacancy. The allowance shall not be granted for employing of job seekers, for whose employment in the same period an allowance pursuant to § 50, § 50a, § 50c, , (article is repealed with effect from 1 January 2011) § 50d and 56 was already granted. The allowance shall not be granted to an employer, who fills the newly created vacancy by employing an employee who was previously dismissed due to organisational reasons or on the basis of an agreement on termination of employment for the same reasons in the period of 6 months before concluding an agreement pursuant to paragraph 5 below.

(2) The monthly amount of the allowance shall be

- a) 15% of the total cost of labour pursuant to § 49 (4) calculated on the basis of the average wage of an employee in the Slovak economy, in the Region of Bratislava, for the first to third quarter of the

calendar year preceding the calendar year in which the allowance is granted; in a maximum amount of 50% of the total cost of labour of the employee hired for the newly created vacancy,

- b) 30% of the total cost of labour pursuant to § 49 (4) calculated on the basis of the average wage of an employee in the Slovak economy, in all other regions, for the first to third quarter of the calendar year preceding the calendar year in which the allowance is granted; in a maximum amount of 50% of the total cost of labour of the employee hired for the newly created vacancy.

(3) The employer shall be obliged to sustain the newly created job for the job seeker, for whose employment the allowance is granted, at least for 12 calendar months. An employer is considered to have created a new vacancy in case of an increase in the number of job posts, which constitutes a total increase of the employer's average number of employees for 12 calendar months compared to the same previous period. If the number of job posts pursuant to the previous sentence is not increased, the employer shall be obliged to document that the increase in job posts did not result from cancellation of jobs as redundant^{49b)}.

(4) The allowance shall be granted to the employer by the Office, within the territorial competency of which a new vacancy is created, for a maximum of 12 calendar months of conclusion of a written agreement pursuant to paragraph 5 below, if the employer requests such allowance in writing. The employer who fills the new vacancy with a disadvantaged job seeker pursuant to § 8 (1) (a) or (k) shall be granted the allowance at the latest as of the day following the efficiency date of the decision on entering the job seeker into the register of job seekers.

(5) The Office shall conclude a written agreement with the employer on granting the allowance, which shall contain

- a) personal data and identification data of the parties to the agreement,
- b) description of the new vacancy or vacancies,
- c) number, professional and qualification structure of job seekers hired for the new vacancies,
- d) date of creation of the vacancy or vacancies, period for which the jobs will be performed and the number of months of employing job seekers in these jobs,
- e) amount, conditions and manner of granting the allowance,
- g) manner of controlling the fulfilment of the agreed conditions,
- h) conditions and deadline for final account of the granted allowance,
- i) manner of a recovery of the allowance or its part in case the agreed conditions are not met,
- j) an obligation of the employer to submit employment contracts of employees within the agreed date, and to notify every termination of employment to the Office at the latest within 30 calendar days,
- k) obligation of the employer to prove that with a job seeker, who was adopted at the new job, did not end the employment through the notice due to organizational reasons or agreement for the same reasons during the 6 months prior to entering into this contract
- l) an obligation of the employer to evidence that he or she has been carrying out his or her business activities continuously for at least 12 months,
- m) an obligation of the employer to sustain the newly created vacancy for the job seeker, for whose employment the allowance is granted, at least 12 calendar months,
- n) an obligation of the Office to grant the allowance to the employer once a month, at the latest within 30 calendar days of the day the employer submits all documents,
- o) an obligation of the employer to notify to the Office every change in the agreed conditions at the latest within 30 calendar days,
- p) other agreed provisions.

ARTICLE 50f

Allowance to employee wages

(from 1 March 2009 to 31 December 2010)

(1) The allowance to employee wages (hereinafter referred to only as the “allowance”) shall be provided to an employee who was registered in the register of job seekers for at least 3 months before being employed, who was granted a hardship benefit and extra allowances to the hardship benefit, and who was taken out of the register of job seekers due to a started employment relationship found on his or her own. The allowance shall be granted in case the gross monthly wage of the employee working full time amounts to the maximum of 1.7 multiple of the subsistence minimum granted to a major person pursuant to the special regulation, payable on the first day of the calendar month for which the wage is paid.

(2) The Office shall grant the allowance to an employee on the basis of a written agreement concluded pursuant to paragraph 4 below for a maximum of 22 calendar months, if the employee applies for such allowance in writing at the latest within 3 months of the beginning of his or her employment.

(3) The monthly amount of the allowance shall be

- a) 22% of the average wage of an employee in the Slovak economy as published by the Statistical Office of the Slovak Republic, for the first to third quarter of the calendar year preceding the calendar year in which the allowance is granted, during the first 12 months in which the allowance is granted,
- b) 11% of the average wage of an employee in the Slovak economy as published by the Statistical Office of the Slovak Republic, for the first to third quarter of the calendar year preceding the calendar year in which the allowance is granted, during the remaining months in which the allowance is granted.

(4) The agreement concluded pursuant to paragraph 2 above shall contain

- a) personal data and identification data of the parties to the agreement,
- b) name and address of the employee’s employer,
- c) date of the employment beginning and duration of employment,
- d) an obligation of the employee to submit employment contract to the Office within the agreed date, and to notify termination of the employment to the Office at the latest within 3 calendar days,
- e) an obligation of the Office to grant the allowance to the employee once a month, at the latest by 30 calendar days of the day the employee submits all documents,
- f) an obligation of the employee to submit to the Office an evidence on continuance of the employment and the amount of wage, once a month, at the latest within 10 calendar days of the end of the respective calendar month,
- g) amount, conditions and manner of granting the allowance,
- h) manner of controlling the fulfilment of the agreed conditions,
- i) conditions and manner of a recovery of the allowance or its part in case the agreed conditions are not met,
- j) other agreed provisions.

(5) The allowance shall not be granted for days during which the employee is temporarily incapable to work. If the employee does not carry out job tasks due to a temporary incapacity to work, he or she shall be obliged to notify this fact to the Office within three working days of the beginning of the incapacity to work.

ARTICLE 50g

Allowance to encourage self-employment

(from 1 March 2009 to 31 December 2010)

(1) The allowance to encourage self-employment (hereinafter referred to only as the “allowance”) shall be granted to a job seeker who was registered in the register of job seekers for at least 3 months, who was

granted a hardship benefit and contributions to the hardship benefit and who starts to perform and will perform a craft or small trade as self-employed person continuously for at least 24 months, and if he or she applies for the allowance in writing. The allowance shall not be granted if an allowance pursuant to § 49, § 50h (article is repealed with effect from 1 January 2011) and 57 is granted for the same period of time.

(2) The allowance shall be granted to reimburse

- a) advance payments of healthcare insurance paid by a self-employed person pursuant to a special regulation for the period of 22 months,
- b) social insurance paid by a voluntary insurance payer pursuant to a special regulation, after elapsing of 18 months of the date when such person started to carry out a craft or small trade, for a maximum of 4 months.

(3) The allowance pursuant to paragraph 2 above shall be granted by the Office after the self-employed person evidences the above payments, in the amount calculated on the basis of the minimal assessment base pursuant to a special regulation.

(4) The allowance shall be granted on the basis of a written agreement concluded pursuant to paragraph 5 below with the Office, in the territorial district of which the self-employed job is created.

(5) The agreement concluded pursuant to paragraph 4 above shall contain

- a) personal data and identification data of the parties to the agreement,
- b) date when the self-employed person starts to carry out a craft or small trade,
- c) amount of the allowance, its specification and way of payment,
- d) conditions of allowance granting,
- e) manner of controlling the fulfilment of the agreed conditions,
- f) an obligation of the Office to grant the allowance at the latest within 30 calendar days of the day all documents are submitted,
- g) an obligation of the job seeker to notify to the Office every change in the agreed conditions at the latest within 30 calendar days,
- h) other agreed provisions.

(6) A citizen who ceased to carry out a craft or small trade as a self-employed person before elapsing 24 months may be entered into the register of job seekers as of the day following elapsing of 24 months from the beginning of a craft or a small trade.

ARTICLE 50h

Allowance for self-employment in the field of processing of and trading in agricultural products (from 1 March 2009 to 31 December 2010)

(1) The allowance for self-employment in the field of processing of and trading in agricultural products (hereinafter referred to only as the “allowance”) shall be granted to a citizen who was registered in the register of job seekers for at least 3 months and who starts and will carry out a self-employed activity in the field of processing of and trading in agricultural products continuously for at least 24 months, and if he or she applies for the allowance in writing. The allowance shall not be granted if an allowance pursuant to § 49, § 50g (article is repealed with effect from 1 January 2011) and 57 is granted for the same period of time.

(2) The allowance shall be granted to reimburse

- a) advance payments of healthcare insurance paid by a self-employed person pursuant to a special regulation for the period of 22 months,

- b) social insurance paid by a voluntary insurance payer pursuant to a special regulation, after elapsing of 18 months of the date when such person started to carry out activities pursuant to paragraph 1 above, for a maximum of 4 months.

(3) The allowance shall be granted by the Office on the basis of a written agreement concluded pursuant to paragraph 4 below after the person carrying out activities pursuant to paragraph 1 above evidences the above payments, in the amount calculated on the basis of the minimal assessment base pursuant to a special regulation.

(4) The agreement concluded pursuant to paragraph 3 above shall contain

- a) personal data and identification data of the parties to the agreement,
- b) date of beginning to carry out activities pursuant to paragraph 1 above,
- c) amount of the allowance, its specification and way of payment,
- d) conditions of allowance granting,
- e) manner of controlling the fulfilment of the agreed conditions,
- f) an obligation of the Office to grant the allowance within 30 calendar days of the day all documents are submitted,
- g) an obligation of the job seeker to notify to the Office every change in the agreed conditions at the latest within 30 calendar days,
- h) other agreed provisions.

(5) A citizen who ceased to carry out activities pursuant to paragraph 1 above before elapsing of 24 months may be entered into the register of job seekers as of the day following elapsing of 24 months from the beginning of such activities.

ARTICLE 50i

Allowance to encourage regional and local employment (from 1 March 2010 to 31 December 2011)

(1) The allowance to encourage regional and local employment (hereinafter referred to only as the “allowance”) shall be granted to an employer pursuant to paragraph 2, who for a limited period of time employs a disadvantaged job seeker pursuant to § 8 (1), letters a) to e), h) i) or k), if the employment for a limited period of time is agreed for at least nine months in the scope of at least one half of the determined weekly work time. The allowance shall not be granted if an allowance pursuant to § 50, § 50a, § 50c, § 50d, § 50e, (articles 50e and 51a are repealed with effect from 1 January 2011) § 56 and 56a is granted for the same period of time.

(2) For the purposes of this provision an employer shall mean

- a) a legal entity which is a municipality, a self-governing region, an association of municipalities, an association of self-governing regions pursuant to special regulation, and a legal entity founded or established by a municipality or a self-governing region,
- b) a legal or natural entity carrying out his or her activity in some of the fields pursuant to Article 52a (1) (a).

(3) The allowance shall be granted for a maximum of nine months. The allowance shall be granted monthly in the amount of

- a) 90% of the total cost of labour of the employee during the first three months, in a maximum amount of 90% of the total cost of labour calculated on the basis of a double amount of the subsistence minimum granted to a major person pursuant to a special regulation, payable on the first day of a calendar month for which the allowance is granted,

- b) 80% of the total cost of labour of the employee during the following three months, in a maximum amount of 80% of the total cost of labour calculated on the basis of a double amount of the subsistence minimum granted to a major person pursuant to a special regulation, payable on the first day of a calendar month for which the allowance is granted,
- c) 70% of the total cost of labour of the employee during the remaining three months, in a maximum amount of 70% of the total cost of labour calculated on the basis of a double amount of the subsistence minimum granted to a major person pursuant to a special regulation, payable on the first day of a calendar month for which the allowance is granted.

(4) The allowance shall be granted to the employer by the Office, under the territorial competence of which the registered seat of the employer is situated, or where a permanent residence of the employer is situated if the employer is a natural entity, and if the employer applies for the allowance in writing. The allowance shall be granted on the basis of a written agreement concluded pursuant to paragraph 6 below. The allowance shall be granted at the earliest as of the day following the efficiency date of a decision on entering a job seeker into the register of job seekers.

(5) The employer cannot assign the employee, for whom the allowance is granted, temporarily to work for another employer.

(6) The agreement concluded pursuant to paragraph 4 above shall contain

- a) personal data and identification data of the parties to the agreement,
- b) description of the vacancy or vacancies,
- c) number, professional and qualification structure of disadvantaged job seekers pursuant to paragraph 1 employed for a limited period of time,
- d) date of employment beginning for a limited period of time and the agreed period of employment,
- e) the maximum amount of the total cost of labour of each employed disadvantaged job seeker pursuant to paragraph 1,
- f) conditions and manner of granting the allowance,
- g) manner of controlling the fulfilment of the agreed conditions,
- h) conditions and deadline for final account of the granted allowance,
- i) manner of a recovery of the allowance or its part in case the agreed conditions are not met,
- j) an obligation of the employer to submit employment contracts of employees within the agreed date to the Office, and to notify every termination of employment to the Office at the latest within 30 calendar days,
- k) an obligation of the Office to grant the allowance to the employer once a month, at the latest within 30 calendar days of the day the employer submits all documents,
- l) an obligation of the employer to notify to the Office every change in the agreed conditions at the latest within 30 calendar days,
- m) other agreed provisions.

ARTICLE 50j

**Allowance to encourage employment in relation to measures preventing floods and dealing with the consequences of an extraordinary situation
(comes into force from 23 September 2010)**

(1) The allowance to encourage employment in relation to measures preventing floods and dealing with the consequences of an extraordinary situation (hereinafter referred to only as the “allowance”) shall be granted to the employer pursuant to paragraph 3 who fills the created vacancy with a job seeker registered in the register of job seekers at least for three months, if the employment is agreed in the scope of determined weekly work time and concerns work related to measures preventing floods and dealing with

the consequences of an extraordinary situation. The allowance shall not be granted for employment of a job seeker, for whose employment an allowance pursuant to § 50, § 50a, § 50c, § 50d, § 50e, (article is repealed with effect from 1 January 2011) § 50i, § 51a, (article is repealed with effect from 1 January 2011) § 52, § 52a, § 56 and 56a is granted for the same period of time.

(2) The allowance shall be granted for

- a) implementation of measures of flood protection pursuant to a special regulation,
- b) removal of consequences of an extraordinary situation declared pursuant to a special regulation.

(3) For the purposes of granting the allowance the employer shall mean

- a) a municipality or a self-governing region,
- b) a legal entity founded or established by a municipality and a self-governing region,
- c) a legal entity which administers important water flows or administers small water flows,
- d) a legal entity founded by the state which administers drainage systems owned by the state.

(4) The allowance shall be granted during six calendar months. The allowance shall be granted in the amount of 95% of the total cost of labour of the employee, maximally in the amount of the total cost of labour calculated on the basis of a double amount of the subsistence minimum granted to a major person pursuant to a special regulation, payable on the first day of a calendar month for which the allowance is granted.

(5) The employer defined in paragraph 3, letter a) shall be granted a single allowance to reimburse partial costs on tools necessary to implement measures of flood protection or to deal with the consequences of an extraordinary situation in the amount of 95% of evidenced costs on tools, maximally EUR 40 per one created vacancy.

(6) Extent of granted allowance and conditions pursuant to a special regulation apply to an employer defined by paragraph 3, letters b) to d).

(7) An employer may apply for the allowance on the grounds of an extraordinary situation at the latest within six months of such extraordinary situation being declared.

(8) The allowance shall be granted to the employer by the Office, under the territorial competence of which the employer has its registered seat, if the employer applies for it in writing. The allowance shall be granted to the employer pursuant to paragraph 3, letter d) by the Office who kept record of the employee engaged for the new vacancy. The allowance shall be granted on the basis of a written agreement concluded pursuant to paragraph 9 below.

(9) The agreement concluded pursuant to paragraph 8 above shall contain

- a) personal data and identification data of the parties to the agreement,
- b) date on which the extraordinary situation is declared, if the allowance is granted to deal with the consequences of an extraordinary situation,
- c) number of created vacancies, purpose of the granted allowance and agreed type of working tasks,
- d) date of employment beginning,
- e) amount of the allowance,
- f) conditions and manner of granting the allowance,
- g) manner of controlling the fulfilment of the agreed conditions,
- h) conditions and deadline for final account of the granted allowance,
- i) manner of a recovery of the allowance or its part in case the agreed conditions are not met,
- j) an obligation of the employer to submit employment contracts of employees within the agreed date to the Office, and to notify every termination of employment to the Office at the latest within 30 calendar days,

- k) an obligation of the Office to grant the allowance to the employer pursuant to paragraph 4 once a month, at the latest within 30 calendar days of the day the employer submits all documents,
- l) an obligation of the Office to grant the allowance pursuant to paragraph 5 at the latest within 30 calendar days of the day the employer submits all documents pursuant to paragraph 3, letter a),
- m) an obligation of the employer to notify to the Office every change in the agreed conditions at the latest within 30 calendar days,
- n) other agreed provisions.

(10) The employer cannot assign the employee, for whom the allowance is granted, temporarily to work for another employer.

ARTICLE 51

Contribution for the Graduate Practice

(1) For the purposes of this Act, graduate practice is defined as the acquisition, by the graduate of a school, of professional skills and practical experience at an employer corresponding to the attained level of the graduate's education. Under conditions stipulated by this law, as graduate practice can be regarded also the acquisition or deepening of professional skills or practical experience by job seekers up to 26 years of age that will extend their career options on the labour market.

(2) For the purposes of this provision, as school graduate shall be regarded, in addition to the graduate of a school, subject to § 8(1)(a), every job seeker aged up to 26 years, regardless of whether he has completed systematic vocational preparation, or whether he has obtained a regular paid employment.

(3) Graduate practice shall be executed on the basis of a written agreement on the graduate practice concluded between the Office and the graduate who has been filed for a specified period in the register of job seekers, and by written agreement concluded between the Office and the employer.

(4) Graduate practice is carried out at least 3 months without the possibility of extension or repetition, for a maximum of 20 hours per week. The employer determines the beginning of graduate practice and its scope. Upon completion of the graduate practice, the employer shall issue for the graduate a certificate of completion of the graduate practice..

(5) During the performance of graduate practice the Office shall provide to the graduate with a monthly flat rate contribution equal to the subsistence minimum for one adult natural person pursuant to separate legislation^{46e} to cover his or her essential personal expenses relating to the performance of the graduate practice; the flat rate contribution shall be reduced for days off pursuant to paragraph 7 and for other days of absence from graduate practice, based on the attendance records, which is submitted by the Office pursuant to letter d) of paragraph 9. The Office shall grant compensation of the accident insurance premium of the graduate during his/her the performance of graduate practice.

(6) While on graduate practice, the graduate shall be entitled to time off in the duration of ten working days. Such claim shall not arise to the graduate earlier than two months from commencing the graduate practice.

(7) In addition to time off in the duration of ten working days the employer shall excuse absence of the graduate from executing graduate practice, when caused by his/her temporary incapacity to work or by attending to a sick family member.

(8) The agreement concluded pursuant to paragraph 3 between the Office and the graduate shall comprise in particular

- a) Commitment of the Office to provide for execution of graduate practice with the agreed employer for the graduate,
- b) Commitment of the graduate to execute graduate practice with the employer agreed by the Office,
- c) Commencement and duration of executing graduate practice,
- d) Type and method of acquisition of practical experience, the type of job in which school leaver work experience will take place,
- e) Commitment of the graduate to comply, while on graduate practice, with generally binding legal regulations, internal rules of the employer and regulations of occupational safety and health protection that he/she had been provably familiarized with,
- f) Commitment of the graduate to reimburse the Office for damage caused by his/her wilful acts to the employer,
- g) Commitment of the graduate to conclude the accident insurance contract during his/her execution of graduate practice,
- h) Commitment of the Office to pay the lump-sum contribution pursuant to paragraph 5 to the graduate within 15 working days from lapse of the relevant calendar month.

(9) The agreement concluded pursuant to paragraph 3 between the Office and the employer shall mainly comprise in particular

- a) Commitment of the employer to establish conditions for the execution of graduate practice to the graduate,
- b) Type and method for the acquisition of practical experience, the type of job in which graduate practice will take place and the function or occupation of the natural person under whose supervision the job seeker will carry out graduate practice,
- c) Commitment of the employer to provably familiarize the graduate with generally binding legal regulations, internal rules of the employer and regulations of occupational safety and health protection while on graduate practice,
- d) Commitment of the employer to keep attendance records of the graduate and to submit them to the Office in monthly intervals within ten days from lapse of the relevant calendar month,
- e) Commitment of the employer to notify the Office on the graduate's failure to execute graduate practice, and on premature termination of the execution of graduate practice within two working days at latest,
- f) Commitment of the employer to enable to the Office's charged employee to control the fulfilling of this agreement,
- g) Commitment of the employer not to decrease the number of jobs by reason of accepting a jobseeker to execute the graduate practice

ARTICLE 51a

Contribution to support the employment of persons who have completed education and preparation for the labour market

(Article shall be repealed with effect from 1 January 2011)

(1) For the purposes of provision of the contribution to support the employment of persons who have completed education and preparation for the labour market (hereinafter referred to as "the contribution"), a person who has completed education and preparation for the labour market shall be a secondary school graduate registered in the register of job seekers for at least 6 months and a citizen over 50 years of age registered in the register of job seekers for at least 3 months who has completed education and preparation for the labour market provided by the Office lasting at least 6 calendar months and at most 24 calendar months.

(2) The Office shall provide the contribution to an employer who employs a person who has completed education and preparation for the labour market pursuant to paragraph 1 for at most 24 calendar months from the conclusion of a written agreement ~~pursuant to paragraph 6; the amount of the contribution shall be as follows:~~

- a) in the Bratislava self-governing region at most 25% of the overall price of work pursuant to § 49 (4) calculated from the average wage of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year previous to the calendar year in which the contribution is provided,
- b) in other self-governing regions 35% of the overall price of work pursuant to § 49 (4) calculated from the average wage of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year previous to the calendar year in which the contribution is provided,

(3) The amount of the contribution pursuant to paragraph 2 and the time for which it is provided shall be dependent on the average level of registered unemployment in the district in which the employer employed the person who has completed education and preparation for the labour market and the legal form and the area of activity of the employer.

(4) The employer must retain the job for which the contribution is paid for at least 24 calendar months. If the average number of jobs measured over the last 12 months is lower than for the equivalent preceding period, the employer must show that this reduction is due to the cancellation of jobs due to redundancy.

(5) The contribution shall be provided to the employer by the Office in whose territory the person who has completed education and preparation for the labour market pursuant to paragraph 1 is employed, if the employer requests the contribution in writing. The contribution shall not be provided if a contribution pursuant to § 50, § 50a, § 50c, § 56 or 56a is provided in the same period.

(6) The office shall conclude an agreement on the provision of the contribution with the employer; the agreement shall specify the following particulars:

- a) the personal data and identifying data of the contracting parties,
- b) the number, the occupation structure and the qualification structure of the persons who have completed education and preparation for the labour market who shall be employed pursuant to paragraph 1,
- c) the maximum level of the overall cost of work for each employed person who has completed education and preparation for the labour market,
- d) the conditions and the method for the provision of the contribution,
- e) the method for checking compliance with the agreed conditions,
- f) the conditions and the date for payment of the provided contribution,
- g) the method for the return of the contribution or part thereof in the event of a failure to comply with the agreed conditions,
- h) the undertaking of the employer to submit the employment contracts by a set date and to notify the Office no later than 30 calendar days after every termination of employment,
- i) the undertaking of the office to pay the contribution to the employer monthly or no later than 30 calendar days after the submission of documents by the employer,
- l) the undertaking of the employer to inform the Office of any change in the agreed conditions within at most 30 calendar days,
- h) other agreed particulars.

ARTICLE 52

Allowance for activation by small municipal services for the municipality or in the form of services for small self-governing region (From July 1, 2011)

(1) Activation of smaller activities by means of general services for the municipality or through small self-governing county services for the purposes of this Act is to promote the maintenance work habits long-term unemployed, which is the recipient of material need benefits and contributions to the benefit in material need. During the implementation of small community service for the village is a job-seeker cannot attend services for small autonomous region or voluntary service under § 52a. During the implementation of services for small autonomous region, the job seeker can participate in minor municipal services or voluntary community service pursuant to § 52a.

(2) Less general services for the municipality organized the municipality or budgetary organization or contributory organization whose founder is the municipality for the purposes of this Act is a form of activation activity long-term unemployed out the work intended to improve economic conditions, social conditions, cultural conditions, creation, protection, maintenance and improvement of the environment of community residents, the conservation and preservation of cultural heritage, promoting education, development and delivery of social services and other activities in social development and protection of spiritual and cultural values, supplementary training of children and youth and development and support community activities.

(3) services for smaller autonomous region organized by regional governments or budgetary organization or contributory organization whose founder or founders of the self-governing regions for the purposes of this Act is a form of activation activity long-term unemployed out the work intended to create, protect, maintain and improving the environment and to help eliminate incidents and their consequences. Participation in long-term unemployed to carry out minor service is optional.

(4) Less general services for the municipality or services for smaller autonomous region long-term unemployed citizens to carry out a continuous period not exceeding six calendar months in not more than 20 hours per week except the week in which the trigger action began, with the possibility of re-implementing the most over the next twelve calendar months.

(5) For the purposes of organizing smaller municipal services for the local community by the competent authority provides to the municipality once a month on long-term unemployed, which led in evidence, these data

- a) name and date of birth,
- b) street, village or city district of residence
- c) level of education attained, acquired professional skills, or type of work performed to date,
- d) the length registering as job seekers
- e) information on whether the receiving material núdzi.49)

(6) For the purpose of organizing services for small local city autonomous region self-governing region competent authority at its request information on long-term unemployed, led in evidence, the extent specified in paragraph 5 The local competent authority in the first sentence is the authority within the territorial district of Region in whose territory the autonomous region less interested in organizing services.

(7) The Office provides to the municipality or self-governing region príspevok that can be used to cover part nákladov for personal protective work equipment, accident insurance, long-term unemployed, often costly na časti working tools and other costs relating to the operation of small municipal services for the municipality or services for small self-governing region and the payment of the total labor official who organizes the activation.

(8) The contribution pursuant to paragraph 7 shall be provided under a written agreement concluded between the Authority and the municipality or authority and regional governments to cover part of the costs associated with implementation of minor municipal services or community services for small autonomous region, a monthly maximum of 7 % during the first six calendar months and a maximum of 4% over the next twelve calendar months, to cover part of the total employee cost of labor to organize smaller public services for the municipality or minor services for self-governing region, a month more than 3% of total labor according to § 49 paragraph. 4, calculated from the average wage of employee in economy of the Slovak Republic for the first-third quarter of the calendar year preceding the calendar year in which the allowance is granted on a long-term unemployed executing smaller public services or community services for small self-governing region.

(9) Provides post office in the district has long-term unemployed resident.

(10) The agreement concluded pursuant to paragraph 8 contains

- a) personal data and the identification of participants,
- b) the number of unemployed people received minor to perform community service for a small municipality or autonomous region for the service, the duration of the implementation of one long-term unemployed,
- c) the nature and extent of the minor municipal services or community services for small self-governing region
- d) the total amount, date and duration of the contribution pursuant to paragraph 8,
- e) the number of employees who are organizing the implementation of minor municipal services or community services for small autonomous region long-term unemployed and the range of weekly hours worked per employee, which organizes the implementation of smaller and smaller municipal services
- f) an undertaking to the Authority that a contribution pursuant to paragraph 8 a month, no later than 30 calendar days of the agreed documents
- g) the obligation of the municipality or autonomous region, that any failure to notify the office hours of the implementation of smaller scale community service for a small municipality or autonomous region services for long-term unemployed,
- h) the obligation of the municipality or autonomous region, not later than 15 calendar days, notify the office of each employee's termination of employment, which organizes smaller public services for the municipality or services for smaller autonomous region,
- i) the terms of the contribution,
- j) the manner of enforcement of the agreed conditions
- k) the manner and period of repayment of the contribution or part thereof for failure to meet agreed conditions
- l) Other agreed requirements.

(11) Where a municipality or autonomous region violated the agreement concluded with the Authority pursuant to paragraph 10 and the Authority therefore withdraw from this Agreement, a new agreement may be concluded soon after twelve months following the resignation of the Office since the previous agreement.

(12) The Office concludes a long-term unemployed agreement concerning the conditions for minor municipal services or community services for small autonomous region, which includes

- a) personal data and the identification of participants,
- b) the type of minor municipal services or community services for small self-governing region

- c) the commencement and duration of the implementation of minor municipal services or community services for small self-governing region
- d) an undertaking to the Authority to ensure long-term unemployed carry out minor communal services for small municipality or autonomous region for services,
- e) a commitment to long-term unemployed to perform services for smaller public or community service for smaller autonomous region provided by the Office,
- f) a commitment to long-term unemployed to comply with internal regulations and instructions of the municipality or autonomous region, and regulations to ensure the safety and health in carrying out minor municipal services or community services for small autonomous region, which was shown to be warned
- g) Other agreed requirements.

(13) If the long-term unemployed can participate in minor municipal services or community services for small autonomous region because of its temporary inability to work, it shall so notify the Office within three working days after the onset of temporary incapacitation. If temporary incapacity long-term unemployed during the implementation of minor municipal services or community services for small autonomous region for more than 30 calendar days, the Authority withdraws from the agreement.

ARTICLE 52a

Contribution for activation activity in the form of voluntary service

(1) For the purposes of this act, voluntary service shall be a form of activation for a job seeker through the performance of voluntary activities whose objective is the acquisition of practical experience for the needs of the labour market. During the performance of voluntary activities, the job seeker may provide aid as follows:

- a) in the care for unemployed persons, disabled citizens, immigrants, persons who have been recently released from prison, drug addicts and persons with other forms of addiction, minors and other persons dependent on the care of others, family or in providing public benefit services and other services in the area of social affairs, health care, education, culture, sport, in the formation, protection, upkeep or improvement of the environment, in care for the protection and preservation of cultural heritage, in the performance of cultural events and collections for charity for persons pursuant to this provision, in consumer protection and in contact with the public,
- b) in the event of natural catastrophes, ecological catastrophes, humanitarian aid and civil defence.

(2) A job seeker may carry out voluntary service for a legal entity or natural person whose activities in areas pursuant to paragraph 1 are not carried out for the purpose of achieving a profit, for a period of 20 hours per week continuously for at most six calendar months. The participation of the job seeker in the performance of voluntary service shall be voluntary. During the performance of voluntary service as a job seeker may not carry out activation activity pursuant to § 52.

(3) During the performance of voluntary service the office shall provide the job seeker with a flat rate contribution equal to the subsistence minimum provided to one adult natural person pursuant to separate legislation^{46e}) to cover essential expenditure for food and drink, accommodation and travelling expenses from the place of permanent or temporary residence to place where voluntary service is performed. The flat rate contribution shall be reduced by a proportionate amount for days of excused or unexcused absence from the place of the performance of voluntary service based on the records of attendance pursuant to letter g) of paragraph 9. Resulting amount is rounded to the nearest euro cent

(4) The office shall provide a contribution to a legal entity or natural person as defined in paragraph 2; this contribution may be used to cover a part of costs necessary for the eligible performance of voluntary service and the operation of voluntary services, for accident insurance for job seekers, to

cover fees for certification that the job seeker satisfies health requirements if the legal entity or natural person requires it, to cover a part of the cost of personal protective equipment, work equipment and a part of other costs relating to the performance of voluntary service and to cover a part of the overall cost of work of an employee that organises voluntary service. The purpose for which the contribution shall be used shall be agreed pursuant to paragraph 9.

(5) The contribution pursuant to paragraph 4 is provided monthly based on a written agreement concluded between the Office and the a legal entity or natural person pursuant to paragraph 2 in the first six months of 7 % of the overall cost of work pursuant to § 49 (4) calculated from the average wage of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year previous to the calendar year in which the contribution is provided for each job seeker performing voluntary service, of which at most 3% to cover a part of the overall cost of work of the employee who organises voluntary service for each job seeker performing voluntary service.

(6) The contribution pursuant to paragraph 4 shall be provided to a legal entity or natural person pursuant to paragraph 2 if, as at the date of submission of the written application for the contribution, they have performed the activities pursuant to letter a) of paragraph 1 for at least 1 year; this condition need not be satisfied for the performance of activities pursuant to letter b) of paragraph 1.

(7) A job seeker may only repeat performance of voluntary service in the areas pursuant to letter b) of paragraph 1.

(8) The contribution shall be provided by the Office in whose territory voluntary service is performed.

- (9) The agreement concluded pursuant to paragraph 5 shall state
- a) the personal data and identifying data of the contracting parties,
 - b) the number of job seekers performing voluntary service and the duration of the performance of voluntary service by each job seeker,
 - c) the type, working hours and conditions for voluntary service,
 - d) the total amount, purpose and duration of provision of the contribution pursuant to paragraph 5,
 - e) the number of employees who organise the performance of voluntary service by job seekers and the weekly schedule of hours worked by each employee, who organises the performance of voluntary service by job seekers,
 - f) the undertaking of the Office to pay the contribution pursuant to paragraph 5 monthly no later than 30 calendar days after the submission of the agreed documents,
 - g) the undertaking of the legal entity or natural person to keep records of the attendance of each job seeker and to submit them to the Office monthly within five working days after the end of the calendar month,
 - h) the undertaking of the legal entity or natural person to inform the Office of every failure to comply with the set number of hours of performance of voluntary service by a job seeker,
 - i) the undertaking of the legal entity or natural person to inform the Office no later than 15 calendar days after the termination of the employment of an employee who organises voluntary service,
 - j) the conditions for provision of the contribution,
 - k) the method for checking compliance with the agreed conditions,
 - l) the method and deadline for the return of the contribution or part thereof in the event of a failure to comply with the agreed conditions,
 - m) other agreed particulars.

(10) If the legal entity or natural person pursuant to paragraph 2 fails to comply with the agreement concluded with the Office pursuant to paragraph 9 and the Office withdraws from the agreement for this

reason, a new agreement cannot be concluded earlier than the end of six months from the Office's withdrawal from the previous agreement.

(11) The Office shall conclude an agreement with the job seeker on the conditions for the performance of voluntary service stating

- a) the personal data and identifying data of the contracting parties,
- b) the type of voluntary service performed,
- c) the start and duration of the performance of voluntary service,
- d) the undertaking of the Office to arrange the performance of voluntary service by the job seeker,
- e) the undertaking of the job seeker to perform the voluntary arranged by the Office,
- f) the undertaking of the job seeker to abide by the internal regulations and instructions of the organiser of voluntary service and occupational health and safety regulations relating to the performance of voluntary service, their familiarity with which shall be documented,
- g) the undertaking of the job seeker to reimburse the Office for loss or damage caused to the legal entity or natural person pursuant to paragraph 2 with deliberate intent,
- h) the undertaking of the Office to pay the job seeker the flat rate contribution pursuant to paragraph 3 no later than 30 days after the end of the calendar month for which the flat rate contribution is provided.
- i) other agreed particulars.

ARTICLE 53

Contribution for commuting to work

(1) The contribution for commuting to work (hereinafter referred to as the "commuter contribution") shall be provided by the Office monthly toward reimbursement of part of the travel expenses to commute from the place of permanent residence, or from the place of temporary residence of the employee to the place of performance of employment, as given in the employment contract, and back, or reimbursement of part of the travel expenses to commute from the place of permanent residence, or from the place of temporary residence of the employee to the place of the operations or performance of self-employment gainful activity and back. A contribution for commuting to work shall be provided to a citizen who was a job seeker registered in the register of job seekers for at least three months who was removed from the register of job seekers for reasons pursuant to letter a) or b) of § 36 (1) if he or she requests such a contribution in writing. The citizen may apply for the commuter contribution no later than within six months of the entry in employment, or of the start of the operations or performance of self-employment.

(2) The commuter contribution, pursuant to paragraph 1, shall be provided to the citizen for the duration corresponding to his last registration in the register of job seekers, for maximum 12 months of his entry in employment, or of the start of the operations or performance of self-employment; the commuter contribution shall be paid to a citizen registered in the register of job seekers for less than 6 months shall be provided for six months. The contribution, pursuant to paragraph 1, shall be provided repeatedly after the lapse of two years from the entry in the last employment, or from the last start of the operations or performance of the self-employment.

(3) The commuter contribution shall be provided in the amount of documented travel expenses, amounting at most 135 EUR per moth, depending on the distance of the place of performance of employment, or place of the operations or performance of the self-employment from the place of permanent residence, or the place of temporary residence of the employee, or the self-employed person.

(4) The Office shall provide the commuter contribution within 30 calendar days of proving the duration of employment, or the duration of the operations or performance of the self-employment.

ARTICLE 53a

Contribution for relocation for work

(1) The contribution for relocation for work (hereinafter referred to as “the contribution”) covers part of documented relocation expenses of a job seeker from his or her place of permanent residence for reasons of employment up to a maximum amount of 1 327,76 EUR if the location of the new permanent residence on the territory of the Slovak Republic to which he or she relocates for reasons of employment is at least 50 km from the original location of his or her permanent residence.

(2) Expenses for relocation for work include documented expenses for the first payment of rental and first payments related to the use of a flat.

(3) The Office shall provide a contribution for commuting to work to a citizen who was a job seeker registered in the register of job seekers for at least three months who was removed from the register of job seekers for reasons pursuant to letter a) of § 36 (1) if he or she requests such a contribution in writing. A citizen may request the contribution no later than 12 months from the change of his or her permanent residence for reasons of employment.

(4) The Office shall provide the contribution after the presentation of proof of the change of the place of permanent residence of the employee.

(5) If two persons married to each other submit requests that satisfy the conditions pursuant to paragraph 3, the office shall provide the contribution to only one of the spouses.

(6) The contribution shall be provided in a single instalment once in two years.

ARTICLE 53b

Contribution for transport to the place of employment

(1) The Office may provide the contribution for transport to the place of employment (hereinafter referred to as “the contribution”) to an employer on conclusion of a written agreement if the employer provides daily transport for employees to and from the place of employment on the grounds that there is no evidence that public transport is available at all or that the service provided satisfies the needs of the employer. The contribution cannot be provided if a contribution for transport to the place of employment has been provided pursuant to § 60.

(2) If the conditions pursuant to paragraph 1 are satisfied, a contribution may be provided up to the value of at most 50% of the costs incurred for the transport of employees to and from the place of employment.

(3) The Contribution is provided to the employer by the Office in whose territory is located the employer’s registered office or permanent residence, if the employer is a natural person.

(4) The agreement on the provision of the contribution shall state

- a) the personal data and identifying data of the contracting parties,
- b) the number of employees transported per month,
- c) the distance of carriage in km,
- d) expected monthly costs for the transport of employees,
- e) the method for proving facts pursuant to paragraph 1,
- f) the maximum amount of the contribution, its specification and the method for payment,

- g) the conditions subject to which the contribution is provided,
- j) the method for checking compliance with the agreed conditions,
- i) the conditions and the date for settlement of the provided contribution,
- j) the method for the return of the contribution or part thereof in the event of a failure to comply with the agreed conditions,
- k) the undertaking of the employer to inform the Office of any change in the agreed conditions within at most 30 calendar days,
- l) the undertaking of the office to pay the contribution to the employer monthly no later than 30 calendar days after the submission of documents by the employer,
- m) other agreed particulars.

ARTICLE 53c

Support for the integration of disadvantaged job seekers in the labour market

(1) The aim of support for the integration of disadvantaged job seekers in the labour market is to make it easier for them to enter and remain in the labour market for a period of at least six months.

(2) Supported for the integration of disadvantaged job seekers in the labour market shall be provided in the form of a national project, which shall be approved by the Ministry at least for the territorial district of the region. A legal entity or natural person pursuant to § 2 (1) (m) may implement projects, pay contributions and benefits and provide other agreed supplies on conclusion of a written agreement with the Central Office or an Office.

(3) A legal entity or natural person pursuant to § 2 (1) (m) may help disadvantaged job seekers to enter and remain in the labour market according to projects pursuant to paragraph 2 using the following means

- a) active labour market measures pursuant to this act,
- b) measures and procedures agreed with the Central Office or an Office in a written agreement on the implementation of a project pursuant to paragraph 2.

(4) The selection of a legal entity or natural person pursuant to § 2 (1) (m) is governed by separate legislation.

ARTICLE 53d

Contribution for the creation of a new job

(1) Investment aid to support start-up investment in the form of a contribution for the creation of a new job (hereinafter referred to as “the contribution”) for which a decision on the provision of investment aid has been issued pursuant to separate legislation^{59ab)} shall also be considered to be an active labour market measure.

(2) A contribution may be provided to an employer to cover a part of eligible costs up to a maximum level and subject to conditions pursuant to separate legislation if the employer creates new jobs in a district where the average rate of registered unemployment calculated from the number of job seekers available for work published by the Central Office for the calendar year immediately previous to the calendar year in which the request for provision of investment aid is delivered to the Ministry of Economy of the Slovak Republic is greater than the average rate of registered unemployment in the Slovak Republic calculated on the basis of the number of job seekers available for work. Compliance with conditions of the average registered unemployment rate calculated according to the first sentence is not required to support the creation of technology centres and strategic service centres.

(3) The contribution shall be provided by the Central Office based on an agreement on the provision of a contribution for the creation of a new job concluded with the employer.

(4) The agreement pursuant to paragraph 3 shall state

- a) the personal data and identifying data of the contracting parties,
- b) the number and occupation structure of the jobs that will be created,
- c) the date by which the new jobs will be occupied by the agreed number of employees,
- d) the types of costs that the contribution may be used to cover,
- e) the amount, date and method for provision of the contribution,
- f) the method for checking compliance with the agreed conditions,
- g) the method and date for settlement of the contribution,
- h) the undertaking of the employer to return the contribution or a proportionate part thereof if it is not used in full by the agreed date or is not used for the agreed purpose or if, through fault of the employer, the contribution was received without legitimate reason or in a larger amount than that to which the employer was entitled; the period and conditions for its return,
- i) the conditions for revocation of the agreement,
- j) other agreed particulars.

(5) An employer who has received a contribution may not be granted another contribution from the funds intended for active labour market measures for the same purpose as this contribution was provided for while the agreement concluded with the Central Office is in effect.

SUPPORT OF EMPLOYMENT OF DISABLED CITIZENS

ARTICLE 55a

Preparation to improve the employment prospects of a disabled citizen

(1) The implementation of preparation to improve the employment prospects of a disabled citizen shall take into consideration his or her ability to cope with the health requirements of work, the reduction in his or her capacity to perform work and the difficulty of the work that he or she will perform after completion of preparation to improve employment prospects. For the purposes of this act, preparation to improve the employment prospects of a disabled citizen comprises training and preparation for work. Preparation to improve the employment prospects of a disabled citizen lasts six months.

(2) Training permits a disabled citizen who is unable to take part in systematic vocational preparation or for whom this form of preparation is not necessary to acquire professional skills and practical experience for the performance of work. Training usually ends with a final test.

(3) Preparation of a disabled citizen for work is preparation enabling gradual adaptation to the performance of work.

(4) During training or preparation for work, the disabled citizen may be assisted by an assistant at work who is an employee of the legal entity or natural person pursuant to paragraph 5.

(5) Training or preparation for work may be provided to a disabled citizen

- a) in an educational facility,
- b) in the workplace of his or her employer or
- c) in a sheltered workshop or sheltered workplace.

(6) The selection of an educational facility, a sheltered workshop or sheltered workplace to provide training or preparation for work for a disabled citizen shall be governed by separate legislation.

(7) The Office may provide a contribution for training or preparation for work for a disabled citizen to cover eligible costs for training or preparation for work and to cover eligible costs relating to training or preparation for work for a disabled citizen pursuant to § 55b and § 55c on conclusion of a written agreement pursuant to paragraph 10.

(8) During training or preparation for work that lasts at most one month, a disabled citizen who is a job seeker or a person interested in employment is entitled to reimbursement of expenses pursuant to § 46 paragraphs 4 to 7 and 9. A disabled citizen who is an employee is entitled to wage, pay, wage compensation or pay compensation during training or preparation for work that lasts at most one month.

(9) If training or preparation for work for a disabled citizen who is a job seeker lasts more than one calendar month, he or she shall be entitled to benefit during preparation for improvement in employment prospects for a disabled citizen pursuant to article 48b.

(10) Training or preparation for work for a disabled citizen is provided on conclusion of a written agreement between the disabled citizen who is a job seeker or person interested in employment and the Office and on conclusion of a written agreement between the Office and the legal entity or natural person pursuant to paragraph 5.

(11) The agreement concluded pursuant to paragraph 10 between the Office and a disabled citizen who is a job seeker or between the Office and a disabled citizen who is a person interested in employment shall state

- a) the location of training or preparation for work,
- b) the content and duration of training or preparation for work including the date when it starts and ends,
- c) the rights and obligations of participants in training or preparation for work,
- d) the scope and conditions for reimbursement of expenses for training or preparation for work pursuant to paragraphs 8 and 9,
- e) other agreed particulars.

(12) The legal entity or natural person pursuant to paragraph 5, who provides training or preparation for work for a disabled citizen shall conclude a written agreement pursuant to paragraph 10 that states

- a) the location and method for the provision of training or preparation for work,
- b) the work for which training or preparation for work is provided,
- c) the qualification requirements and health requirements necessary for training or preparation for work,
- d) the number of disabled citizens to whom training or preparation for work will be provided,
- e) the theoretical and practical content of training or preparation for work,
- f) the duration of training or preparation for work including the date when it starts and ends,
- g) the maximum amount of reimbursement for eligible costs pursuant to article 55b,
- h) the conditions for the reimbursement of eligible costs pursuant to article 55c,
- j) the method for checking compliance with the agreed conditions,
- j) the method for verifying the professional skills and practical experience acquired during training or preparation for work,
- k) the conditions for the return of reimbursed eligible costs pursuant to article 55b and 55c in the event of a failure to comply with the agreed conditions,
- l) other agreed particulars.

(13) A disabled citizen who is a job seeker or person interested in employment may suspend training or preparation for work or withdraw from the agreement in the event of serious grounds related to health, family situation or personal situation that arise during training or preparation for work; the Office shall decide on the seriousness of reasons.

ARTICLE 56

Contribution for the establishment of a sheltered workshop or sheltered workplace

(1) The Office shall provide the contribution for the establishment of a sheltered workshop or sheltered workplace (hereinafter referred to as “the contribution”) to an employer who employs a job seeker, who is disabled citizen, no earlier than the day following the entry into force of a decision on his or her registration in the register of job seekers, in a job created in a sheltered workshop or sheltered workplace.

(2) The amount of the contribution for one job created in a sheltered workshop or sheltered workplace is

- a) in the Bratislava self-governing region 55% of 16-times the overall price of work pursuant to § 49 (4) calculated from the average wage of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year previous to the calendar year in which the contribution is provided,
- b) in other self-governing regions 65% of 16-times the overall price of work pursuant to § 49 (4) calculated from the average wage of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year previous to the calendar year in which the contribution is provided,

(3) The amount of the contribution pursuant to paragraph 2 shall be dependent on the average level of registered unemployment in the district in which the employer establishes the sheltered workshop or sheltered workplace and the legal form and the area of activity of the employer.

(4) The contribution shall be provided to the employer by the Office in whose territory the sheltered workshop or sheltered workplace is established, if the employer submits a written request for this contribution; the request shall include the business plan, a calculation of the expected costs for the establishment of the sheltered workshop or sheltered workplace and a calculation of the overall cost of the work of the disabled citizens. The contribution shall not be provided if a contribution pursuant to § 50, § 50a, § 50c, § 51a (article is repealed with effect from 1 January 2011), or 56a has been provided to the employer in the same period.

(5) The jobs for whose establishment the contribution was provided may be occupied only by disabled citizens. Other employees may perform these jobs in the event of a temporary vacancy only with the prior consent of the Office and for a period not exceeding 9 calendar months and in the case of disadvantaged job seekers pursuant to § 8 (1) (i) for a period not exceeding 12 calendar months in small and medium enterprises and 24 calendar months in other enterprises.

(6) The job created in a sheltered workshop or sheltered workplace shall be retained for at least 2 years in small and medium enterprises and at least three years in other enterprises. If the employer fails to comply with this condition, a proportionate part of the contribution must be returned for the period during which work was not performed in the job created pursuant to this provision.

(7) The creation of a job in a sheltered workshop or sheltered workplace by the employer is defined as an increase in the number of jobs that represents an overall increase in the average number of its

employees in a period of 12 calendar months compared to the equivalent previous period. If there is no increase in number of jobs as defined in the previous sentence, the employer must prove that such an increase failed to take place as a result of the cancellation of jobs due to redundancy.

(8) The employer must report to the Office all changes in the jobs in the sheltered workshop or sheltered workplace for which a contribution has been provided within 30 calendar days.

(9) The office shall conclude a written agreement on the provision of the contribution with the employer; the agreement shall include the following particulars:

- a) the personal data and identifying data of the contracting parties,
- b) the characteristics of the job or jobs in the sheltered workshop or sheltered workplace,
- c) the number, the occupation structure and the qualification structure of the disabled employees employed in the created jobs in the sheltered workshop or sheltered workplace,
- d) the date when the job will be created and the period for which the created job in the sheltered workshop or sheltered workplace will be retained and the number of months for which disabled citizens will be employed in this position,
- e) the maximum amount of the overall cost of work for each disabled citizen employed,
- d) the conditions and the method for the provision of the contribution,
- g) the method for checking compliance with the agreed conditions,
- h) the conditions and the date for settlement of the provided contribution,
- i) the conditions and method for the return of the contribution or part thereof in the event of a failure to comply with the agreed conditions,
- j) the undertaking of the employer to submit the employment contracts of employees by a set date and to notify the Office no later than 30 calendar days after every termination of employment,
- k) the undertaking of the Office to pay the contribution to the employer monthly no later than 30 calendar days after the submission of documents by the employer,
- l) the undertaking of the employer to inform the Office of any change in the agreed conditions within at most 30 calendar days,
- m) other agreed particulars.

ARTICLE 56a

Contribution to retain a disabled citizen in employment

(1) If over 25% of the staff of an employer are disabled citizens according to the average records for the number of employees pursuant to § 63 (3), a contribution to retain a disabled citizen in employment (hereinafter referred to as “the contribution”) shall be provided. The contribution shall be provided on disabled citizen who ensure work in the scope of at least one half of the determined weekly work time.

(2) The monthly amount of the contribution shall be as follows:

- a) 0.72 times the overall price of work calculated from the average wage of an employee, who is disabled citizen whose capacity to perform gainful activity is reduced by more than 70 % due to his/her long-term adverse state of health, his or her work is ensured in the scope of at least one half of the determined weekly work time, in a maximum amount of 0,72 times the overall price of work calculated from the average wage of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year previous to the calendar year in which the contribution is provided,
- b) 0.36 times the overall price of work calculated from the average wage of an employee, who is disabled citizen whose capacity to perform gainful activity is reduced by more than 40% and less than 70% due to his or her long-term adverse state of health, his or her work is ensured in the scope of at least one half of the determined weekly work time, in a maximum amount of 0,36 times the overall price of work calculated from the average wage of an employee in the economy of the Slovak Republic for the

first to third quarter of the calendar year previous to the calendar year in which the contribution is provided.

(3) The Contribution is provided to the employer by the Office in whose territory is located the employer's registered office or permanent residence, if the employer is a natural person, based on a written request submitted by the employer. The request shall include information on the overall average registered number of employees in natural persons and on the average registered number of employees who are disabled citizens in natural persons categorised in accordance with paragraph 2 letters a) and b) for each quarter cumulatively from the start of the year. The contribution shall be provided quarterly no later than 30 calendar days after the submission of the request. The contribution shall not be provided if a contribution pursuant to § 50, § 50a, § 50c, § 51a (article is repealed with effect from 1 January 2011), or 56 has been provided to the employer in the same period.

(4) The Office shall provide the contribution on conclusion of a written agreement with the employer stating

- a) the number of employees for whom the contribution is provided and their occupation structure,
- b) the method for provision of the contribution,
- c) the maximum level of the contribution,
- d) the undertaking of the employer to inform the Office of any change in the agreed conditions within at most 30 calendar days,
- e) the conditions and method for the return of the contribution or part thereof in the event of a failure to comply with the agreed conditions,
- f) other agreed particulars.

ARTICLE 57

Contribution for a disabled citizen to operate or perform business activity as a self employed person

(1) A disabled citizen who begins to operate or perform business activity as a self-employed person in a sheltered workshop or sheltered workplace may receive a contribution to cover costs relating to self employment (hereinafter referred to as "the contribution") in the amount specified in § 56 (2), if he or she submits a written request for the contribution.

(2) The contribution shall be provided to a disabled citizen who has been registered in the register of job seekers for at least three months and who begins to operate or perform business activity as a self-employed person in a sheltered workshop or sheltered workplace and will continue in such activities without interruption for at least two years.

(3) The amount of the contribution depends on the average rate of registered unemployment in the district in which the disabled citizen establishes the sheltered workshop or sheltered workplace for the operation or performance of business activity as a self employed person.

(4) The contribution shall be provided by the Office in whose territory the disabled citizen begins to perform or operate business activity as a self-employed person in a sheltered workshop or sheltered workplace, or the Office in whose territory the disabled citizen has permanent residence.

(5) If the disabled citizen stops operating or performing business activity as a self-employed person in a sheltered workshop or sheltered workplace before the end of two years, he or she must return a proportionate part of the provided contribution for the period during which he or she does not operate or perform business activity as a self-employed person in the sheltered workshop or sheltered workplace. If the disabled citizen stops operating or performing business activity as a self-employed person in a sheltered workshop or sheltered workplace before the end of two years, he or she may be registered in the register of

job seekers two years and a day after starting to operate or perform business activity as a self-employed person in a sheltered workshop or sheltered workplace. Return of the contribution shall not be required if the disabled citizen stops operating or performing business activity as a self-employed person in a sheltered workshop or sheltered workplace as a result of death or for health reasons based on an assessment pursuant to article 19. If the disabled citizen stops operating or performing business activity as a self-employed person in a sheltered workshop or sheltered workplace before the end of two years for health reasons based on an assessment pursuant to article 19, he or she may be registered in the register of job seekers from the day following the end of the operation or performance of business activity as a self-employed person in a sheltered workshop or sheltered workplace.

- (6) The Office shall conclude an agreement with the disabled citizen who begins to operate or perform business activity as a self-employed person in a sheltered workshop or sheltered workplace stating
- a) the personal data and identifying data of the contracting parties,
 - b) the form of activity according to the statistical classification of economic activity,
 - c) the amount of the contribution and the method for provision of the contribution,
 - d) the date of the establishment of the sheltered workshop or sheltered workplace and the date for the start of the operation or performance of business activity as a self-employed person,
 - e) the period during which the job created for the operation or performance of business activity as a self-employed person in a sheltered workshop or sheltered workplace will be maintained,
 - f) the conditions subject to which the contribution is provided,
 - g) the conditions and method for the return of the contribution or part thereof in the event of a failure to comply with the agreed conditions,
 - h) the undertaking of the disabled citizen who begins operating or performing business activity as a self-employed person in a sheltered workshop or sheltered workplace to inform the Office of any change in the agreed conditions within at most 30 calendar days,
 - i) other agreed particulars.

(7) A condition for the conclusion of an agreement on the provision of a contribution is completion of preparation for starting the operation or performance of self employment activity in a sheltered workshop or sheltered workplace, which the Office shall arrange for a job seeker who is disabled citizen and submission of the business plan, including the estimated costs of commencing the operation or performance of self-employment activities in the sheltered workshop or sheltered workplace. The basis for assessment of the conditions under the first sentence, is the opinion of the Commission under § 18 (3). The particulars of the business plan and criteria for assessing the effectiveness and reality of the business plan, shall the Centre designate in the internal regulation. Based on a regional project, the Office shall also provide for the practical preparation of disabled citizens for starting the operation or performance of business as a self-employed person in a sheltered workshop or sheltered workplace, including practical preparation of the business plan, the strategy for the preparation and development of business activity.

(8) Contribution shall be again granted the earliest after the expiration of three years from the day following the expiration of two years from starting the operation or performance of self employment for which the contribution was provided.

ARTICLE 57a

Contribution for the replacement of or investment in the tangible assets of a sheltered workshop or sheltered workplace

(1) The Office may provide a contribution for the replacement of or investment in the tangible assets of a sheltered workshop or sheltered workplace (hereinafter referred to as the “contribution”) to the

employer who operates the sheltered workshop or sheltered workplace or a disabled citizen who operates or performs business activity as a self-employed person in the sheltered workshop or sheltered workplace on the basis of a written request. If the application is submitted by a payer of value added tax, the input price of the tangible assets excluding value added tax must be greater than EUR 995,82.

(2) The replacement of tangible assets shall mean the purchase of new tangible assets. Investment in tangible assets shall mean investment pursuant to separate legislation.

- (3) The Contribution may be provided if as at the date of the signing of the request for its provision
- a) disabled citizens have made up at least 50% of the employer's employees for at least three years before the submission of the request; a disabled citizen whose ability to perform gainful activity is reduced by more than 70% as a result of adverse health counts as three such employees for the purposes of the provision of the contribution to the employer,
 - b) a disabled citizen has operated or performed business activity as a self-employed person in a sheltered workshop or sheltered workplace for at least two years.

(4) The source of financing for the contribution shall be the state budget. The level of funds available for payment of contributions is included in the budget for expenditure of the Central Office and may not exceed the level budgeted income from levies pursuant to § 65.

(5) When selecting a supplier of machines, equipment, utility vehicles or building work that will be financed from a contribution, procedures shall be followed pursuant to separate legislation.

(6) A written request for the provision of a contribution shall be submitted by the employer or the disabled citizen that operates or performs business activity as a self employed person in a sheltered workshop or sheltered workplace to the Office in whose territory the sheltered workshop or sheltered workplace is located or in whose territory the disabled citizen that operates or performs business activity as a self employed person in the sheltered workshop or sheltered workplace has permanent residence. The application shall include a proposal laying out the rationale and objective of the investment plan, information on the number of employees, if the request is submitted by an employer, information on business performance, overall costs for the replacement of or investment in tangible assets, the applicant's own share in the financing of costs, the amount of the contribution requested stating amounts for the replacement of machines and equipment, for a utility vehicle, for construction work, which are not related to changes in the production programme or production equipment, for the construction of a new facility, for complex changes in the production programme or production equipment and a written declaration of the amount of state aid provided previously.

(7) The Office shall conclude an agreement with the disabled citizen who operates or performs business activity as a self-employed person in a sheltered workshop or sheltered workplace stating

- a) the personal data and identifying data of the contracting parties,
- b) the form of activity according to the statistical classification of economic activity,
- c) the level, date and method for provision of the contribution,
- d) the method for checking compliance with the agreed conditions,
- e) the conditions and method for the return of the contribution or part thereof in the event of a failure to comply with the agreed conditions,
- f) other agreed particulars.

ARTICLE 59

Contribution for Activities of the Assistant at Work

(1) The Office shall grant to employer or to a self-employed person, who is disabled citizen, a contribution for activities of the assistant at work (hereinafter referred to as “contribution”).

- (2) For the purposes of this act, an assistant at work is
- a) an employee who provides assistance to a disabled employee or disabled employees in the performance of their work and personal tasks during working hours.
 - b) a natural person that provides to a disabled self-employed person in operating or performing business activity as a self-employed person and in performing personal tasks during the operation or performance of business activity as a self-employed person,
 - c) an employee or natural person who provides assistance to a disadvantaged job seeker who is a disabled citizen during job familiarisation or assistance in preparation to improve employment prospects for a disabled citizen and in the performance of personal tasks during job familiarisation or preparation to improve employment prospects.

(3) The assistant at work must have completed 18 years of age and legal capacity.

(4) The contribution shall be provided monthly in the amount of 41% and at most in the amount of 90% of the overall cost of work pursuant to § 49 (4) calculated from the average wage of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year previous to the calendar year in which the agreement pursuant to paragraph 6 on the activity of each assistant at work is concluded; the contribution shall be provided for the duration of

- a) the employment of the disabled employee or employees who are in the direct care of the assistant at work,
- b) the operation or performance of business activity as a self-employed person by the disabled citizen,
- c) job familiarisation or preparation to improve employment prospects for the disabled citizen or citizens who are in the direct care of the assistant at work.

(5) The contribution shall be granted by the Office in whose territorial boundaries the employer or a self-employed person, who is a disabled citizen, has its site or the Office in whose territorial boundaries the self-employed person has his permanent residence or the Office that concluded the relevant agreement pursuant to § 49a (10) or § 55a (12).

(6) The Office shall conclude an agreement on the provision of the contribution with the employer, the self-employed person who is disabled or the assistant at work pursuant to paragraph 2 (c) who is not an employee. The agreement for providing the contribution shall include in particular

- a) Number of employees who are disabled citizens and who are in the direct care of one assistant at work,
- b) Number of assistants at work,
- c) Sum and duration of payment of the contribution,
- d) Method of payment of the contribution,
- e) Method of the contribution return or parts thereof in case of non-fulfilment of the agreed conditions.

(7) Self-employed person, who is a disabled citizen, shall conclude a contract for the provision of assistance in operating or executing self-employment with the assistant at work (hereinafter referred to as the “Contract”). The Contract shall contain in particular

- a) Type and the extent of activities to be performed by the assistant at work,
- b) Place of the performance of activities of the assistant at work,
- c) Agreed working time,
- d) Rights and obligations of the assistant at work,
- e) Amount of pay and the way of its payment,

f) Reasons for relinquishing the contract.

(8) Self-employed person, who is a disabled citizen, shall be obliged to submit an original copy of the contract, pursuant to paragraph 7, or its copy to the competent Office.

ARTICLE 60

Contribution to cover operating costs of a sheltered workshop or sheltered workplace and to cover transport costs for employees

(1) The contribution to cover the operating costs of a sheltered workshop or sheltered workplace and to cover transportation costs for employees (hereinafter referred to as “the contribution”) shall be provided to a legal entity or natural person if they request such a contribution in writing no later than the end of the first calendar month of the quarter following the quarter for which the contribution is requested.

(2) The following costs shall be considered to be operating costs of the sheltered workshop or sheltered workplace for whose establishment a contribution is provided to an employer:

- a) rental and costs for services relating to rental,
- b) costs relating to mandatory inspections and costs for insurance of the building in which the sheltered workshop or sheltered workplace operates, if the employer owns this building,
- c) fuel and energy costs
- d) water and sewerage costs and costs for the removal and disposal of waste,
- e) costs for the transportation of materials, finished products and transport related to the provision of services,
- f) costs for payment of wage and advance payment of insurance premiums for contributions to health insurance and social insurance and contributions to old age pension saving paid by the employer for disabled employees; These costs shall not be granted to employer if an allowance pursuant to § 56 or § 56a is granted,
- g) costs for the repair and maintenance of the building in which the sheltered workshop or sheltered workplace operates, if the employer owns this building and the costs relate to the operation of the sheltered workshop or sheltered workplace,
- h) repair and maintenance costs for the equipment of the sheltered workshop or sheltered workplace if the employer owns this equipment,
- i) costs relating to provision for the administration of the sheltered workshop or sheltered workplace.

(3) The following costs shall be considered to be operating costs of the sheltered workshop or sheltered workplace established by a disabled citizen for the operation or performance of business activity as a self-employed person:

- a) rental and costs for services relating to rental other than rental for accommodation and costs for services relating to such rental,
- b) costs relating to mandatory inspections and costs for insurance of the building in which the sheltered workshop or sheltered workplace operates, if the disabled citizen owns this building,
- c) fuel and energy costs
- d) water and sewerage costs and costs for the removal and disposal of waste,
- e) transportation costs for materials and finished products,
- f) costs for advance payment of insurance premiums for contributions to health insurance and social insurance and contributions to old age pension saving paid by a self-employed disabled person
- g) costs for the repair and maintenance of the building in which the sheltered workshop or sheltered workplace operates, if the disabled citizen owns this building and the costs relate to the operation of the sheltered workshop or sheltered workplace,
- h) repair and maintenance costs for the equipment of the sheltered workshop or sheltered workplace if the disabled citizen owns this equipment,

i) costs relating to provision for the administration of the sheltered workshop or sheltered workplace.

(4) If the costs pursuant to paragraphs 2 and 3 include value added tax and the employer that operates the sheltered workshop or sheltered workplace or the disabled citizen that operates or performs business activity as a self employed person in the sheltered workshop or sheltered workplace is not entitled to deduct value added tax pursuant to separate legislation, value added tax shall be considered an operating cost of the disabled citizen that operates or performs business activity as a self employed person in a sheltered workshop or sheltered workplace.

(5) Transportation costs for employees pursuant to paragraph 1 shall be costs relating to transport provided for disabled employees by the employer to and from their place of employment. The contribution shall not be provided if a contribution for their transport to and from their place of employment has been provided pursuant to § 53b.

(6) The yearly amount of the contribution, shall be provided by the Office in whose territory the sheltered workshop or sheltered workplace is established, as follows at most

- a) 2.5 times the overall price of work pursuant to § 49 (4) calculated from the average wage of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year previous to the calendar year in which the contribution is provided for one disabled citizen,
- b) 5 times the overall price of work pursuant to § 49 (4) calculated from the average wage of an employee in the economy of the Slovak Republic for the first to third quarter of the calendar year previous to the calendar year in which the contribution is provided, for one disabled citizen whose capacity to perform gainful activity is reduced by more than 70% due to his or her long-term adverse state of health.

(7) The contribution shall be provided by the relevant Office quarterly based on documentation of costs incurred pursuant to paragraphs 2 to 5 in the relevant quarter at most 25 % of the value pursuant to paragraph 6 up to the end of the second month following the end of the calendar quarter for which the contribution is requested.

(8) A legal or natural person demonstrates fulfilment of obligations pursuant to § 70 (7) to the Office once a year together with the first written request for the contribution, submitted in the calendar year. Legal entity or natural person is required to notify the Office within 30 calendar days of any change of facts referred to in § 70 (7).

Temporary provisions in respect of the amendment effective as of 1 March 2009

ARTICLE 72e

(1) The conditions pursuant to Article 50b (1), letters b) and c) concerning awarding of the status of a social venture shall be considered fulfilled by a legal or natural entity which applies for the status of a social venture by 31 December 2010.

(2) By 31 December 2010, the natural entity which is a municipality, a self-governing region, an association of municipalities or a budgetary or subsidised organisation founded by a municipality or a self-governing region may include the employees who were job seekers before being employed into the amount of at least 30% of the total number of employees pursuant to Article 50b (1), letter a).

ARTICLE 72f

From 1 March 2009 to 31 December 2010, fulfilment of the condition of the average rate of registered unemployment pursuant to Article 53d (2), first sentence shall not be required for the purposes of Article 53d (2).

ARTICLE 72g

The allowance pursuant to Articles 50d to 50h shall be granted maximally by 31 December 2010.

Temporary provision in respect of the amendment effective as of 1 April 2009

ARTICLE 72h

(1) The conditions pursuant to Article 50b (1), letters a) to c) concerning awarding of the status of a social venture shall be considered fulfilled by a legal or natural entity which applies for the status of a social venture by 31 December 2010.

(2) By 31 December 2010, the natural entity which is a municipality, a self-governing region, an association of municipalities pursuant to a special regulation⁵³⁾ or a natural entity founded or established by a municipality or a self-governing region may include the employees who were job seekers before being employed into the amount of at least 30% of the total number of employees pursuant to Article 50b (1), letter a).

(3) By 31 December 2010, the social venture which is a municipality, a self-governing region, an association of municipalities pursuant to a special regulation⁶⁵⁾ or a social venture founded or established by a municipality or a self-governing region shall be granted the allowance pursuant to Article 50c also in respect of the employees who were job seekers before being employed.

(4) The provision of Article 72e shall not apply as of 1 April 2009.

Temporary provision in respect of the amendment effective as of 7 July 2009

ARTICLE 72i

(1) For the period from 1 January 2009 to 30 June 2009, the allowance to reimburse operation costs on a protected workshop or a protected workplace and to reimburse costs on transportation of the employees shall be granted to a legal or natural entity, if the entity applies for the allowance in writing at the latest by 31 July 2009. The allowance of a maximum of 50% of the amounts stipulated by Article 60 (6) based on the documents evidencing the expensed costs pursuant to Article 60 (2) to (5) for the period from 1 January 2009 to 30 June 2009 shall be granted by the respective Office by 31 August 2009.

(2) For the period from 1 July 2009 to 30 September 2009, the allowance to reimburse operation costs on a protected workshop or a protected workplace and to reimburse costs on transportation of the employees shall be granted to a legal or natural entity, if the entity applies for the allowance in writing at the latest by 31 October 2009. The allowance of a maximum of 25% of the amounts stipulated by Article 60 (6) based on the documents evidencing the expensed costs pursuant to Article 60 (2) to (5) for the period from 1 July 2009 to 30 September 2009 shall be granted by the respective Office by 30 November 2009.

Temporary provision in respect of the amendment effective as of 1 December 2009

ARTICLE 72j

In the period from 1 December 2009 to 31 December 2010, fulfilment of the condition stipulating that an employee has to be registered in the register of job seekers for at least three months in case of a disadvantaged job seeker pursuant to Article 8 (1) letter a) shall not be required for the purposes of granting the allowance to encourage self-employment pursuant to Article 49. The allowance to encourage self-employment shall be granted at the earliest as of the day following the efficiency date of a decision on entering a job seeker into the register of job seekers.

Temporary provisions in respect of the amendment effective as of 1 March 2010

ARTICLE 72k

(1) The allowance pursuant to Article 50i shall be granted maximally by 31 December 2011.

(2) The proceedings began before 1 March 2010 which were not lawfully completed, shall be governed by the regulations effective by 28 February 2010.

ARTICLE 72l

(1) Activation in the form of lesser municipal services for a municipality pursuant to Article 52 may be repeatedly carried out by 31 December 2010 without any limitation as to the number of repeated activities.

(2) A job seeker pursuant to Article 52 (1), who participated in activation in the form of lesser municipal services for a municipality pursuant to Article 52 by 28 February 2010, including repetitive carrying out of the services, may be again hired for activation services without any limitation as to the number of repeated activities by 31 December 2010.

(3) Activation in the form of lesser municipal services for a municipality pursuant to paragraphs 1 and 2 may be carried out repeatedly for a maximum of six calendar months.

(4) In case of a repeated activation carried out in the form of lesser municipal services for a municipality pursuant to paragraphs 1 and 2, the allowance for activation in the form of lesser municipal services for a municipality shall be granted to reimburse partial costs related to carrying out of lesser municipal services for a municipality, once a month, in the maximum amount of 4%, and to reimburse a part of the total cost of labour of an employee organising lesser municipal services, once a month, in the maximum amount of 3% of the total cost of labour pursuant to Article 49 (4) calculated on the basis of the average wage of an employee in the Slovak economy, for the first to third quarter of the calendar year preceding the calendar year in which the allowance is granted, per one long-term unemployed citizen carrying out lesser municipal services.

Temporary provision in respect of the amendment effective as of 1 June 2010

ARTICLE 72m

(1) The licence for paid employment mediation issued by the Central Office by 31 May 2010 shall cease to be effective as of 31 December 2010.

(2) By 31 December 2010, suspension of mediation activities and cancellation of the licence for paid employment mediation shall be governed by the legal regulation effective by 31 May 2010.

ARTICLE 72n

The allowance pursuant to Article 50j granted to deal with the consequences of an extraordinary situation declared pursuant to a special regulation⁵⁵) in the period from 1 May 2010 to the publication day of this Act may be applied for within six months of publication of this Act.

Temporary provision effective as of 1 December 2010

ARTICLE 72o

- (1) The allowance pursuant to Articles 50e to 50h shall be granted maximally by 31 December 2010.
- (2) The allowance pursuant to Article 50d shall be granted maximally by 31 December 2011.
- (3) The provision of Article 72g shall not apply as of 1 April 2010.

Temporary provisions in respect of the amendment effective as of 1 January 2011

ARTICLE 72p

(1) Granting of the allowance based on an agreement on granting the allowance to encourage employment of graduates of training and preparation for the labour market pursuant to Article 51a, concluded before 1 January 2011, shall be governed by the provisions effective by 31 December 2010.

(2) Granting of the allowance based on an agreement on granting the allowance to sustain a job of a handicapped citizen pursuant to Article 56a, concluded before 1 January 2011, shall be governed by the provisions effective by 1 January 2011.

(3) An employer shall be obliged, by 31 March 2011, to evidence payments for the purposes of fulfilment of the obligations pursuant to Article 63 (1) letter d) for 2010 by awarding a contract pursuant to Article 64 or by purchasing products or services pursuant to Article 64a effective by 31 December 2010.

ARTICLE 72r

Projects and schemes approved before 1 January 2011 pursuant to Article 54 effective by 31 December 2010 shall be completed pursuant to the provisions effective by 31 December 2010.

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)